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► Impact of multiple crises on Sri Lanka's micro, small and medium-sized enterprises



- ▶ **Impact of multiple crises on Sri Lanka's micro, small and medium-sized enterprises**

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► Preface

The multiple crises Sri Lanka has faced combined with the recent economic stabilisation measures have had an impact on jobs and earnings in a labour market long constrained by skills deficits, widespread informality, youth unemployment and women's weak workforce engagement.

Many of the challenges that micro, small and medium-sized enterprises (MSMEs) have experienced over the past two decades, including from the most recent crises, stem from long-unaddressed institutional weaknesses, especially those related to governance. Having said that, the labour market disruptions caused by the multiple crises do provide for an unprecedented opportunity for the Sri Lankan labour market to reset with a MSME business recovery model at centre stage. Transforming MSMEs into engines of labour market recovery and growth as the country finds multiple pathways to recover from the crises will require the design and implementation of policies that finally address these challenges and strengthen the very institutions whose intended objectives are to overcome market challenges and not contribute to them.

Placing jobs and people at the heart of economic recovery, the International Labour Organization together with our tripartite constituents have formulated a "Labour Market Recovery and Transformation Strategy." The strategy places the creation of jobs through MSMEs at the heart of Sri Lanka's economic recovery and regeneration. The strategy is based on deep and informed dialogue among tripartite constituents, other relevant stakeholders and is evidence-based. In particular, the results of this rapid assessment of the impact of the multiple crises on MSMEs has informed deliberations on the strategy. Facilitating the growth of MSMEs is certain to have a much wider impact on Sri Lanka's overall job recovery and needs urgent prioritization. This report suggests several interventions to be initiated at the national and sectoral levels that aim at bringing about these changes. The major task at hand however, is to prioritize the interventions and monitor the progress of policy reforms, the details of which this report articulates.

More than ever, the convergence of crises and the associated uncertainties are fuelling inequalities. Beyond the human toll the crises have causes, they also show the deep interlinkages and dependencies their impact have on the world of work. This also shows the crucial need for concerted, coordinated action at all levels without delay. The study precisely serves to motivate such urgent and directed actions.

Simrin Singh

Director

ILO Country Office for Sri Lanka and the Maldives

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Sunil Chandrasiri

Ramani Gunatilaka



A micro entrepreneur describing his challenges.
Sri Lanka. © Asitha Seneviratne/ILO

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► Executive summary

Sri Lanka's economy is retreating from unprecedented crises thanks to the Government's determined efforts to stabilize the economy, reinforced by a new External Fund Facility that the International Monetary Fund approved in March 2023. But the crises and stabilization measures have impacted jobs and earnings in a labour market long constrained by high levels of informality and youth unemployment and low levels of women's labour force participation. Much of the success of employment recovery and growth will be predicated on the performance of the micro, small and medium-sized enterprises (MSMEs), which accounted for 75 per cent of the employed workforce in 2013, according to the National Economic Census of that year, and 99 per cent of Sri Lankan business enterprises.

This study set out to inform the labour market recovery and transformation strategies by analysing the impact of the multiple crises on MSMEs. It aimed to provide insights about areas that require policy support to boost MSMEs' performance and stimulate job creation. Hence its first objective was to understand the impact of the crises on MSMEs and the specific challenges that they have encountered. The impact of the crises was examined in terms of business operations, sectoral differences and, most importantly, change in employment. The second objective was to learn what coping strategies that surviving enterprises had adopted, identify the constraints to survival or recommencement and then assess the institutional support currently available and accessed by MSMEs.

For its analysis, the study used primary data from three components of the Inter-

national Labour Organization and NielsenIQ's surveys on the impact of the economic crisis on Sri Lanka's MSMEs : (i) a survey of 521 MSMEs that had survived the crisis; (ii) a survey of 50 MSMEs that did not survive it; and (iii) sector-based interviews with officials and officers of government agencies and non-governmental organizations. The surveys and interviews were conducted between January and March 2023 in ten districts.¹ Most of the surviving firms were from the wholesale and retail trade and repair of motor vehicles sectors. A fourth of the surviving firms and a fifth of the non-surviving firms were in the manufacturing sector. Of the 521 surviving firms, nearly 30 per cent were in the mining, manufacturing and construction subsectors; 41 per cent were in trade, and another 30 per cent were in the services sector. Among the 50 closures, nearly 18 per cent of the firms were in the mining, manufacturing and construction subsectors; 48 per cent were in trade; and 34 per cent were in the services sector.

The study's main findings are as follows.

Impact

- The COVID-19 pandemic severely or very severely impacted the business operations of nearly 80 per cent of the surviving MSMEs, while the economic crisis of 2022 similarly impacted 89 per cent of them.
- By subsector, the impact of the multiple crises was severe on MSMEs in the tourism, manufacturing, construction, transport and storage, wholesale and retail trade and other services. At the national level, these subsectors account for more than 55 per cent of GDP.

1 Colombo, Gampaha, Kurunegala, Kandy, Anuradhapura, Ampara/Batticaloa, Badulla, Jaffna/Vavuniya, Ratnapura, and Galle.

- Employment contracted by one fifth in the surviving firms during the multiple economic crises (2020–23). Employment among the small enterprises contracted the most (at 23 per cent), with the micro and medium-sized enterprises close behind (at 22 per cent and 21 per cent, respectively).
- Job losses were mainly among men, and affected women's employment only marginally because women were concentrated in the microenterprise sector, mostly in firms with three workers or fewer.
- A substantial number of enterprises lost both skilled and unskilled workers due to their migration to other parts of Sri Lanka or abroad.
- Nearly half of all the surviving firms found it difficult to retain or hire people because they could not pay enough to cover the rising living costs.
- Continuing low employee morale and low productivity are likely to hamper recovery. The crises left in their wake high levels of indebtedness, which will impede the continued survival and growth of MSMEs.
- About 42 per cent of the surviving MSME proprietors reported that they were at risk of failure within a year.
- market products (32 per cent) and re-scheduling bank loans (36 per cent).
- In contrast, proprietors of MSMEs that had closed reported more passive behaviours, such as laying off workers (39 per cent), reducing working hours (38 per cent), borrowing money from other sources (43 per cent) and liquidating assets (46 per cent). Relatively more non-surviving firms reduced workers' salaries (at 30 per cent of enterprises) than the surviving MSMEs (at 20 per cent).
- In terms of dynamic capabilities, the surviving MSMEs responded proactively to the uncertain and changing business environment in the country. For example, 83 per cent of them cut costs and eliminated waste; 71 per cent improved customer services; 60 per cent identified new customers; and 58 per cent improved employee safety and welfare facilities.
- Many surviving MSMEs resorted to digitalization in their adaptive behaviour, but the digital strategies they adopted were at the low end of the digitalization scale, such as using social media platforms mainly for information search.
- Resilience emerged as an entrepreneurial skill that enabled enterprises to adapt and grow stronger in the face of challenges.

Coping strategies and institutional support

- The surviving MSMEs displayed more adaptive behaviours, such as using digital technologies for business operations (38 per cent), sourcing from new suppliers (38 per cent), introducing flexible work practices (39 per cent), adjusting the product or service mix to the labour that was available (39 per cent), using online sales and social media to
- The study identified entrepreneurial orientation, technological adaptation, factor substitution, minimizing waste and searching for new markets as the primary resilience factors. Different actors in the MSME ecosystem should include these topics in training programmes for training providers, policymakers and private and non-governmental organizations.

- The overwhelming majority of MSMEs did not receive any support from institutions dedicated to supporting MSME development and instead struggled or closed on their own.
- Although the COVID-19 stimulus packages offered by the Sri Lankan Government to affected individuals and MSMEs was much smaller than what was offered in other countries in the region, these, too, seemed to have bypassed most of the MSMEs. Political affiliation and influence appear to have had a hand in who was able to access the support.
- Financial institutions also dedicated to supporting MSMEs seemed to have offered little financial support to them by restructuring loans, etc. during the economic crisis, even though they posted substantial profits while the economy contracted.

Risk factors and constraints

- Supply-side factors, such as shortages and the rise in prices of local and imported raw materials and utilities, appear to have made MSMEs more vulnerable to the crises. The influence of supply-side factors was particularly high in the tourism, manufacturing and the wholesale and retail subsectors.
- Many of the impediments to enterprise growth, which had been rigorously identified decades ago, continue to impede the survival, recovery and growth of MSMEs. Key among them are the high cost of energy, the uncertain macroeconomic environment and the cost of and access to finance.
- Inefficiencies and corruption in governance structures, which were not

a problem 20 years ago, have become a considerable drag on business.

Many of the challenges that MSMEs had experienced over the past two decades and were the same in the recent crises stem from long-unaddressed institutional weaknesses, especially those related to governance. Transforming MSMEs into engines of employment recovery and growth as the country moves out of the crises will require the design and implementation of policies that finally address these failures and strengthen the institutions whose intended objectives are to correct market failures and not contribute to them.

Nevertheless, the disruption caused by the multiple crises provides an unprecedented opportunity to reset the MSME business recovery model. The following matrix highlights policy recommendations for MSME business recovery that were drawn from the insights provided by this study. Facilitating the growth of MSMEs will have much wider impact on Sri Lanka's job recovery overall and should be prioritized. MSME growth can create a multiplier effect on job creation by large-scale firms that require a diverse pool of productive workers. This report suggests several interventions to be initiated at the national and sector levels that aim at bringing about these changes. The major challenge, however, is to prioritize the interventions and monitor the progress of policy reforms, the details of which this report articulates.

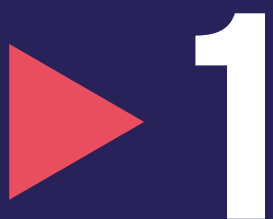
It is hoped that these findings will help inform the process of formulating policies and strategies to support the recovery of MSMEs and their growth and, most importantly, place the creation of jobs at the heart of Sri Lanka's economic recovery and regeneration.

Policy recommendations for a job-rich, sustainable business recovery of MSMEs

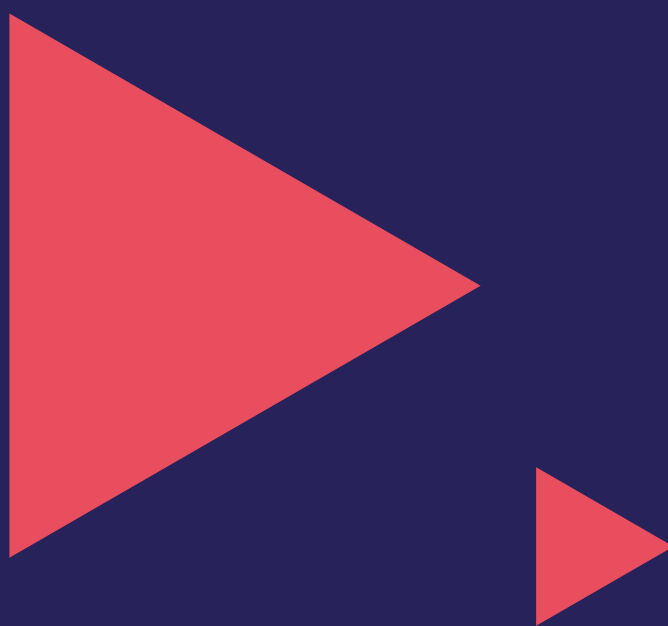
Area of intervention or support	Policy recommendations
1. An enabling macroeconomic environment	• Sustain the macroeconomic reform process, comprising essential fiscal and monetary policy reforms already begun
2. Monitoring of labour market effects associated with macroeconomic policy reforms	• Initiate remedial measures to minimize the negative effects of the macroeconomic policy reforms
3. Institutional reform to keep down the prices of energy and other utilities	• Eliminate corruption by instituting mechanisms to ensure transparency and accountability in the public sector institutions • Promote more inclusive institutions
4. Sector-specific support	• Prioritize high-growth sectors in terms of needed inputs and support for business recovery and job creation in tourism, food and beverages, ICT and business process outsourcing, electronics and electrical equipment, industrial and transport equipment, transportation and storage (logistics), rubber and plastic products, wearing apparel and textiles
5. Supply-side stabilization	• Encourage investment in upgrading technologies • Facilitate access to finance and stabilize its cost • Maintain refinance programmes, and continue to work with development partners • Support business start-ups and the expansion of MSMEs, and attract foreign direct investment • Encourage social dialogue and a culture of collaborative cooperation between employers and trade unions
6. Increased market access	• Facilitate MSMEs' access to local and foreign markets by making information about local and foreign product and factor markets easily available
7. Entrepreneurship development through advisory, counselling and business coaching services	• Develop entrepreneurship skills among MSMEs through well-designed entrepreneurship training programmes • Provide coaching on crisis management, business continuity planning and sustainability initiatives for MSMEs; provide legal advice to MSMEs; and provide counselling for stress management
8. Skills development to increase productivity and arrest the erosion of human capital	• Reform the general education and vocational skills development systems to improve competencies and develop skills that increase employability and that employers are demanding • Develop new skill sets demanded by the MSMEs during the post-crises business recovery period • Provide workforce development programmes to help workers, especially from at-risk groups, upgrade their skill sets and master those required for good jobs
9. Improved digital competencies of MSME proprietors and employees	• Improve the digital competencies of managers and workers in MSMEs related to communication, networking, social media, customer relationship management, payments, accounting and finance, project management operations and improving the digital visibility of enterprises
10. Increased women's participation in the paid workforce and youth employment	• Promote female entrepreneurship in the MSME sector, and realign the vocational training supply with market needs • Provide support for access to training and job searching
11. Interinstitutional coordination	• Develop mechanisms to coordinate the efforts to support MSMEs at the district or divisional secretariate level
12. Monitoring the progress of the business recovery of MSMEs	• Develop a mechanism to monitor the progress of business recovery of MSMEs, and introduce remedial measures to minimize potential negative impacts



An older worker weaves handloom sarees.
Sri Lanka. © Yamuni Rashmika Perera/ILO



Introduction





Tea harvesting in a small holding state.
Sri Lanka. © H. S. R. Rosairo/ILO

► 1.1 Rationale, objectives and data

Sri Lanka's economy is retreating from unprecedented crises thanks to the Government's determined efforts to stabilize the economy, reinforced by a new External Fund Facility that the International Monetary Fund (IMF) approved in March 2023. Although the economy shrunk by 7.8 per cent and inflation ran at 50 per cent in 2022, the IMF expects further contraction of 3 per cent in 2023 and inflation to drop to 28.5 per cent.²

The crises and stabilization measures have impacted jobs and earnings in a labour market long constrained by high levels of informality and youth unemployment and low levels of women's labour force participation. Due to a series of multiple internal and external shocks that hammered Sri Lanka's economy between fourth quarter 2018 and fourth quarter 2022, the Government estimates that roughly 73,000 jobs were lost (DCS 2023). But the actual loss of jobs is likely several times higher. A total of 311,000 Sri Lankans left the country for foreign employment in 2022, according to official figures for registrations with the Foreign Employment Bureau.³ Moreover, 874,955 passports were issued that year, suggesting that the unofficial number of workers migrating out of the country may by now be more

than a million.⁴ The crises exacerbated long-felt skills deficits while doubling the poverty rate; and a quarter of all Sri Lankans are likely to remain poor over the next few years. Although the proportion of Sri Lanka's population living on less than US\$3.65 per day (in 2017 purchasing power parity) was 13.8 per cent in 2016, simulations by the World Bank (2022) suggested that COVID-19 and the economic crises caused 2.5 million more people to fall into poverty, raising the poverty rate to 25.6 per cent.

Economic hardship has given rise to social tensions and unrest, and sustained recovery from the crises will depend crucially on how employment recovers and grows. Much of the success of employment recovery and growth will be predicated on the performance of the micro, small and medium-sized enterprises (MSMEs),⁵ which employed 75 per cent of the labour force in 2013 and accounted for 99 per cent of Sri Lankan business enterprises (DCS 2017).⁶

This study set out to inform labour market recovery and transformation strategies by analysing the impact of the economic crises on MSMEs. Impact was examined during the research in terms of business operations, sectoral differences and, most

2 See <https://www.imf.org/en/Countries/LKA>, accessed 15 June 2023.

3 SLBFE (2023), Annual Statistical Report of Foreign Employment, 2022.

4 de Silva, Charumini (2023) "All-time high 874,955 passports issued in 2022", Daily Financial Times, 12 January 2023. <https://www.ft.lk/front-page/All-time-high-874-955-passports-issued-in-2022/44-744008>

5 Defined as follows: micro (1–9 employees), small (10–49 employees) and medium-sized (50–299 employees).

6 The Asian Development Bank Institute (2021b) estimated the relative magnitude of MSMEs based on the Department of Census and Statistics' Annual Surveys of Industries and the Survey of Trade and Services (2017) and concluded that the share of MSMEs had declined marginally, by 1.7 per cent between 2014 and 2017.

importantly, change in employment. In addition to outcomes, such as job losses and reduced intensity of work, the study looked at the distribution across the key demographic characteristics of workers affected. The study's second objective was to learn which coping strategies that surviving enterprises had adopted, identify the constraints to their survival or recommencement and assess the institutional support currently available and accessed by MSMEs. These findings and insights will help inform the process of formulating policies and strategies to support the recovery of MSMEs and their growth and, most importantly, place the creation of jobs at the heart of Sri Lanka's economic recovery and regeneration.

A limitation of almost all studies about MSMEs and a crisis is that they only look at enterprises that have survived the crisis up to the point of time at which they are surveyed. It is difficult to assess those enterprises that ceased to exist. Yet, information about these enterprises would yield useful insights on the characteristics that condition vulnerability. This study, however, relied on three primary data components that the International Labour

Organization (ILO) and NielsenIQ collected on the impact of the economic crisis on Sri Lanka's MSMEs: (i) a survey of 521 MSMEs that had survived the crisis; (ii) a survey of 50 MSMEs that had succumbed to it; and (iii) sector-based interviews with officials and officers of government agencies and non-governmental organizations. The three components were conducted between January and March 2023 in ten districts to triangulate findings about critical impact and policy-related issues.

This report reflects that analysis as follows: The introduction ends with a contextualizing of the study and an overview of the crisis. Chapter 2 reviews the theoretical and empirical literature. Chapter 3 describes the definitions, data collection methods and characteristics of the three study samples. Chapter 4 presents the findings on impact, followed by an analysis of the coping strategies adopted and institutional support provided. Chapter 6 examines the risk factors that MSMEs faced and the constraints to their survival or recommencement. The final chapter reviews the findings of the study and draws out policy implications.

► 1.2 Background

The COVID-19 pandemic, associated lockdowns and other containment measures triggered unprecedented economic and labour market crises around the world in 2020 and 2021. The roll-out of vaccines by mid-2021 enabled a nascent recovery, but this upswing petered out by 2022,

especially in emerging economies. Even though many governments implemented stimulus packages and interventions to support businesses and workers during the pandemic crisis, their ability to respond in 2021 and at the start of 2022 was constrained by limited fiscal space, rising debt and

inflationary pressures. In January 2022, the Ukraine–Russian Federation conflict broke out, roiling commodity markets, creating scarcities and raising the prices of food and fuel.

Sri Lanka's economy was already ailing with macroeconomic imbalances, structural weaknesses and rising external debt when COVID-19 struck in 2020. Policy missteps thereafter relating to the importation of agrochemicals, management of the exchange rate and external debt repayment generated multiple economic crises, which were further aggravated by the Ukrainian conflict (Gunatilaka and Chandrasiri 2022b). Global and domestic shocks then combined to push the country into a full-blown balance of payments and debt crises. Severe shortages of power, fuel, food and pharmaceuticals impacted economic activity and the welfare of workers and households in 2022. Published data from the national Labour Force Surveys show that Sri Lanka lost more than 200,000 jobs to the pandemic between fourth quarter 2019 and second quarter 2021. Although there was some recovery in private sector employment during the second half of 2021, extensive job losses among employers augured ill for the regeneration of jobs (Gunatilaka and Chandrasiri 2022b). By January 2022, multiple crises, including the shortages of imported raw materials and fuel and power cuts, had overtaken the initial crisis triggered by the pandemic, withering the fragile recovery of the last quarter of 2021. Since then, economic hardship has stoked political tensions and generated political instability across the country, confounding timely decision-making and policy responses to control the damage and navigate out of the crises.

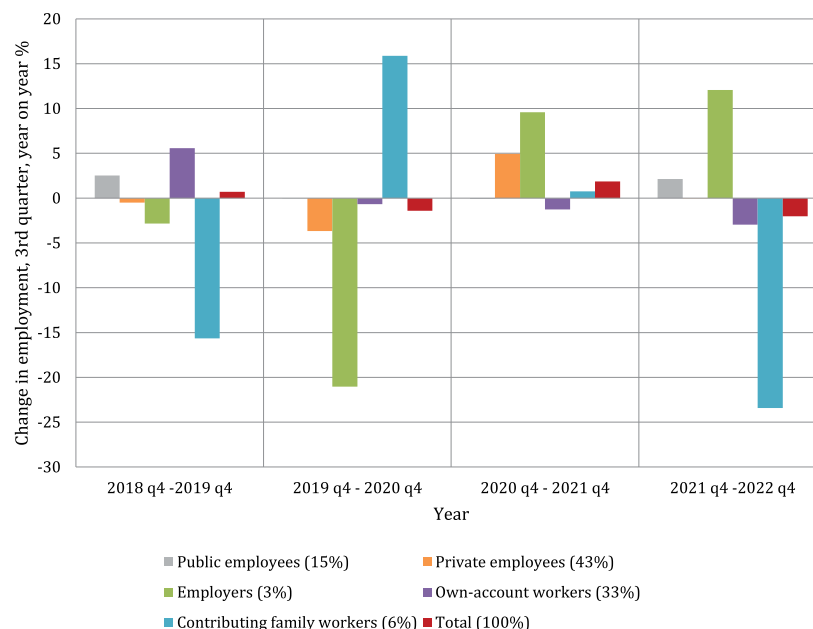
The economy lost a total of 73,441 jobs between the last quarters of 2018 and 2022, according to estimates from the Quarterly Labour Force Surveys. The biggest job losses were among employers (at 14,000) and contributing family workers (at 146,158) over the reference period (figure 1.1). And although there was some recovery in private sector jobs in 2021, there has hardly been any change since then. But unemployment rates hardly changed (4.6 per cent in fourth quarter 2018 and 4.7 per cent in fourth quarter 2022, with unemployment among women declining slightly, from 7.1 per cent in fourth quarter 2018 to 6.5 in fourth quarter 2022), women's participation in the paid workforce declined, from 34.3 per cent in fourth quarter 2018 to 32.1 per cent in fourth quarter 2022. The long-felt skills deficits are now acute. Given Sri Lanka's rapidly ageing population, the impact of the multiple crises on the human capital resources may well shift the production possibility frontier inwards and reverse the country's development.

Much of the impact of the crises on the labour market has likely heavily affected the operations of MSMEs, which have limited financial resources and borrowing capacity. They are also particularly vulnerable to shortages in imported raw materials and intermediate inputs, electricity, fuel and cooking gas. There is substantial evidence that the pandemic hit them hardest. For example, a survey of 2,764 formal establishments by the Department of Labour in April and May 2020 during the first lockdown found that 53 per cent of them were closed during the survey period and that the resulting job losses were around 64 per cent of the total workforce that they had employed in February 2020.

But the impact on employment in the MSME sector (establishments with fewer than 50 employees) was far more severe, with job losses among them as high as 74 per cent of the pre-lockdown workforce. Nearly two fifths, or 39 per cent, of the establishments that the Department of Labour surveyed could not pay salaries, and most of these enterprises were in manufacturing and services. The impact of the pandemic must

have been even more severe for MSMEs in the informal sector, although no data are available. The economic crisis that followed the pandemic is likely to have decimated the MSME sector further, given the impact on rising input costs and interest rates and shortages of materials. This has already resulted in considerable job and income losses.

► **Figure 1.1. Growth in employment, by job status, fourth quarter 2019–22 (%)**



Note: Figures in parentheses show the distribution of total employment among the job status categories in 2022.

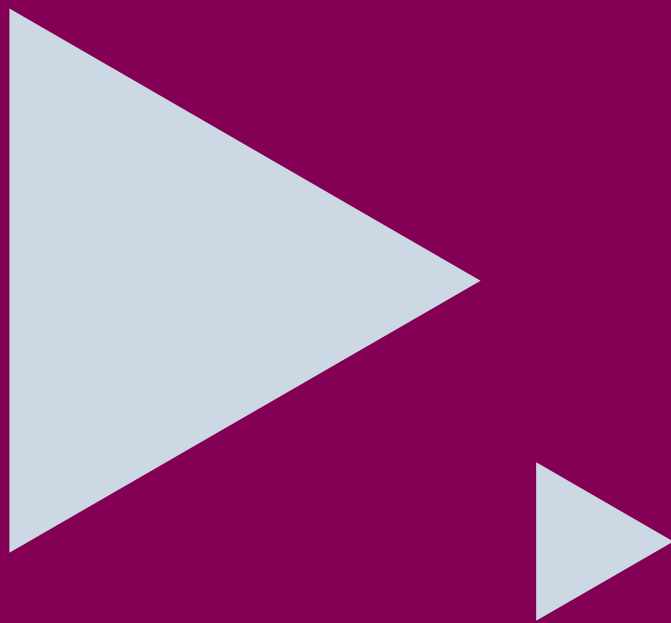
Source: Calculated from the employment figures reported in the Quarterly Bulletins of the Department of Census and Statistics, various years.

Although a substantial body of literature has emerged on the impact of the pandemic on Sri Lanka's MSME sector, there is little information on the impact of the multiple economic crises that followed the pandemic on these businesses and about how they are coping. This study addressed this gap

in knowledge about the sector by assessing the impacts of the crises on operations and employment, with the purpose of helping to design policies that aim to resuscitate MSMEs, generate employment and make the sector an engine for a job-rich recovery and growth in Sri Lanka.

▶ 2

Literature review





Sewing 'Ecoeye' cloth bags with machines in a small business.
Sri Lanka. © Yamuni Rashmika Perera/ILO

► 2.1 Review of the theoretical literature

This brief overview of the international theoretical literature about MSMEs focuses only on those theories that are pertinent to the thematic areas of the present study, namely adaptive and passive entrepreneurial behaviours and the institutional environment.

Adaptive and passive entrepreneurial behaviours and the role of dynamic capability

The literature on MSMEs recognizes that economic crises can create new opportunities and that innovative entrepreneurs can develop new products and services or introduce new technologies that can eventually enhance business performance (Klyver and Nielsen 2021). Shocks force MSME proprietors and managers to respond by taking decisions that can make or break the business. How competent managers and owners are in making appropriate decisions is a key determinant of how well their business weathers a crisis. Therefore, analysing how managers behave and make decisions in a crisis can yield insights that are useful for the design of supportive interventions.

Managers who can *adapt* their behaviour in response to crisis situations and effectively manage the challenges of a business environment are said to display adaptive behaviour. Indeed, the ability of businesses to adapt to external shocks quickly and adequately is crucial to their survival during a crisis.

MSMEs' adaptive capability is rooted in an organization's ability to respond to changing business requirements by identifying and nurturing its core capabilities, resources and other organizational processes. This type of response offers a competitive advantage, particularly in a continuously changing environment. Adaptive capability includes three dimensions of decision-making: horizon scanning, change management and resilience (Ali, Sun and Ali 2017). The first of these three dimensions, horizon scanning, denotes a systematic gathering of political-socio-economic information about customers, competitors, suppliers and technology and using this information to make better decisions. The second, change management, refers to a structured process for managing organizational problems based on the horizon-scanning information. And resilience is defined as the ability of an organization to quickly adapt to crises and ensure recovery and growth.

The literature on crisis-hit MSMEs further categorizes adaptive behaviours into two types: (i) entrepreneur orientation; and (ii) market orientation (Eggers 2020). The former consists of several dimensions of adaptability, such as innovativeness, proactiveness and willingness to take risks by the MSMEs during crisis situations while the latter includes a mix of responsive approaches that cater to a customer's immediate needs and proactive approaches that go beyond the needs.⁷

⁷ For more details see Beliaeva et al. 2018.

In contrast, passive behaviour refers to the responses of managers who are less confident or self-secure, more laid-back and unclear in their direction. Passive behaviour usually gives rise to decisions focused on labour adjustment to reduce costs, such as temporarily changing the occupation structure of the workforce and reducing working hours.

The sporadic shocks that MSMEs face during multiple crises can encourage many entrepreneurs to find and explore new entrepreneurial opportunities arising from the crises. This type of response reveals the dynamic capabilities of MSME proprietors. It is characterized by their ability to adapt to rapidly changing environments by changing the resource mix, the product mix, use of modern technology and identifying new markets (Dejardin et al. 2023). It is also part of their coping mechanisms, and through dynamic capabilities and the deploying of higher levels of competencies and skills, MSMEs increase their probability of overcoming negative impacts.

While the use of modern technology can reveal MSMEs' dynamic capability, the strategy requires more detailed investigation, given the importance of digitalization in business adaptation experienced in other countries. For example, international analyses of the role of digitalization in the adaptation of businesses to the COVID-19 crisis revealed that digitalization is not as complex and lengthy a process as was often previously assumed (Sonobe et al. 2021).

The necessary information technology tools are relatively easily available and can be integrated somewhat quickly with some basic investments in digital skills development. In the post-COVID-19 environment, digital competency among MSMEs has become a mainstream business recovery strategy. It is also a driver of improved business performance in MSMEs. In fact, most demand-side challenges can be addressed by the effective use of social media, e-commerce and several other technological platforms, such as Facebook, LinkedIn, blogs, Twitter, YouTube and Instagram. The electronic commerce (e-commerce) channels include several platforms, such as Alibaba, Magento, Shopify and Weebly (Kala'lembang 2021; OECD 2021).⁸ Social media and e-commerce adoption can be especially beneficial for enterprises because they can help generate greater revenue and improve the cost-effectiveness of operations.⁹

Risk factors that make MSMEs vulnerable to closure in a crisis

MSMEs, especially those operating in the informal sector, have limited human capital and financial and physical resources, and their size also determines their borrowing capacity. They have weaker organizational structures and cannot easily upgrade their production technologies. Their links with product and factor markets tend to be more tenuous than those of larger firms, and the business strategies that they can adopt are likewise constrained by their more limited portfolio of resource endowments. This makes them more

⁸ In the context of developed economies, other technological platforms include technology 4.0 (artificial intelligence, 3D printing, machine learning, robotics, drones, etc.) and cloud computing.

⁹ For more details, see Dwi Nata, Pritandhari and Rosa 2022; Kala'lembang, 2021; Kumar and Ayedee, 2021.

vulnerable to external shocks because shocks intensify the risk factors that MSMEs face. Nevertheless, a good understanding of the factors that make MSMEs vulnerable can help policymakers develop policies and strategies that then help reduce MSMEs' risk factors and help them to survive the crisis and recover and grow.

In their recent review of literature, Garcia et al. (2022) identified 36 risk factors that MSMEs had encountered. The risks can be grouped under five broad categories: (i) entrepreneur characteristics; (ii) business management; (iii) lack of innovation in the business; (iv) risks associated with customers' difficulties; and (v) risks due to the influence of external factors. Similarly, Hossain, Akhter and Sultana (2022) adopted a bibliometric analysis to present the corpus of research findings in the domain of "COVID-19 and SMEs". Their detailed analysis focused on four themes: (i) cash flow shortages; (ii) digital transformation; (iii) supply chain disruptions; and (iv) policy responses to crisis management. These risk factors emerged from a large body of theories about several dimensions of business operations, such as the theory of the firm, entrepreneurship, human capital development, factor productivity, investments in research and development, management strategies and the business environment.

The theoretical literature is supported by a large body of empirical evidence that is reviewed in the next section and that highlights the importance of various risk factors in conditioning the viability of MSMEs.

The institutional environment

MSMEs operate in an environment governed and shaped by institutions that influence human behaviour and incentives but are themselves the product of political economy forces that operate in any given society at any given time. Accordingly, societies create either extractive or inclusive institutions or a mixture of both, with extractive institutions plundering resources while inclusive institutions work to protect and enhance them and promote public welfare (Acemoglu and Robinson 2012). In an economic crisis, the culture of the institutional environment, whether extractive or inclusive, can either hinder or help organizations, such as MSMEs, to survive the hard times and look to transform and expand when the economic environment is more conducive.

The experience with COVID-19 has given new life to this literature and generated two contrasting views about the role of institutions in times of crisis. The first is based on the post-COVID development model that Rodrik (2020) fashioned, which characterizes the way businesses could recover from the pandemic reflects a productivist "good jobs" model. This model is based on an updated welfare state model involving flexicurity and continuous education and training. The second approach, championed by Stiglitz (2021), focuses on the proper and newly defined role of the government in a market economy. Stiglitz (2021: 7) argued that "we must work to correct market failures and government failures. It is a never-ending struggle to create good institutions". He also drew attention to the role of

governmental corruption and the power of governments to do good as well as bad.

Stiglitz (2021) saw the pandemic as having laid bare the dire need for reforms to create good governance that addresses both government and market failures and that improves institutions. He argued that wealthy and powerful market players tend to work against solutions that are best for society as a whole. Government, he said, must intervene to control such actors.

MSMEs are typically more vulnerable to a weak business environment than larger enterprises, especially in a crisis. Their costs of doing business are relatively higher than the costs borne by larger firms. And the external threats of a weak business environment add to the vulnerability of MSMEs because they are also less able to lobby and influence policymakers than large-scale enterprises. MSMEs also expect

more government support during multiple crises, but whether the institutional environment created by a government can respond effectively depends crucially on political economy forces that shape such institutions.

While the theoretical literature relevant to the thematic areas of this study provides useful perspectives through which to analyse the data collected through the surveys, the international empirical literature that has grown around MSMEs tends to be descriptive and addresses only selected policy issues. Rather than approaching MSMEs' experience guided by the theoretical literature, many of these studies focused on the broad contours of the pandemic crisis. Nevertheless, they provide many diverse, interesting and policy-relevant insights that can inform the design of policies to support business recovery.

► 2.2. Review of the empirical literature

Several cross-country studies attest to the calamitous impact of COVID-19 and associated mobility restrictions and disruptions on MSMEs' operations. Many of these studies also looked at whether ICT applications helped firms cope with the market disruptions and/or provided alternate means through which to maintain production and sales. In the area of business operations, almost all the studies looked at the impact of the pandemic on the operational viability of firms in terms of sales revenue and cash flow. Although the impact on employment was examined,

it generally was of secondary importance. The pandemic conditions also restricted coverage of the surveys of firms on which the studies were based to those that could be reached online. The other serious limitation of all the survey-based studies was that, by necessity, they covered only firms that had survived the shocks up to the time of the survey. Therefore, the problem of adverse selection was common to all the studies, and there was relatively little information on the characteristics of enterprises that had ceased to exist.

Looking at the impact of the pandemic in terms of firm closure and sales revenue, Shaper and Burgess' (2022) literature review for the United Nations Conference on Trade and Development found the pandemic impacting MSMEs the worst. Micro-enterprises in Latin America were the biggest single group of firms that had closed, accounting for as much as 96 per cent of all firm closures in the region. Most firm closures were in the wholesale and retail trade sectors, among hotels and restaurants, real estate and related activities, social and personal services and small-scale manufacturing. These sectors accounted for a quarter of the region's gross domestic product (GDP) and employed almost a third of the workforce. The authors estimated that between a quarter and a third of all MSMEs could shutter permanently from the disruption. Similarly, Sonobe et al. (2021) used data from an online survey of MSMEs in Bangladesh, India, Indonesia, Lao People's Democratic Republic, Malaysia, Mongolia, Pakistan and Viet Nam to show that between one fourth to one half of the MSMEs in the samples experienced a temporary shutdown during the pandemic period (in 2020 and early 2021) and that one third to two thirds of them were facing a cash shortage at the time of the survey. A study led by Apedo-Amah et al. (2020) of 51 countries and covering more than 100,000 MSMEs also found that the impact of the pandemic on enterprises was widespread and severe, with sales persistently and negatively affected.

Country-specific case studies from the region confirmed these findings. For example, Ramaswamy's (undated) review

of several surveys on the impact of the pandemic on Indian MSMEs noted that most microenterprises closed during the lockdown, with only 17 per cent partially or fully operational. Even 52 per cent of firms in the essential sectors also shut because they were not aware of the government classification and thus exclusion. Among the non-essential businesses, 92 per cent remained shut. Declines in profits were most acute in the manufacturing and services sectors, where profits declined by as much as 78 per cent and 81 per cent, respectively; whereas among trading firms, the decline in profit was smaller, at around 62 per cent. Ramaswamy (undated) reported that another survey of 14,444 Indian MSMEs found that nearly half of them experienced a 20–50 per cent reduction in earnings, while a survey by the Clothing Manufacturers Association of India of 1,500 apparel firms found that 60 per cent of them had experienced 40 per cent declines in revenue. Of the apparel firms, a fifth had been contemplating closure after the lockdowns ended.

A United Nations Industrial Development Organization (UNIDO) study (2020) of the initial impact of the pandemic on 151 small and medium-sized enterprises in Indonesia found that they were more vulnerable to the economic consequences of the mobility restrictions than larger firms. The reduction in market demand threatened the survival of such small firms the most: Around 82 per cent of them reported a reduction in orders, while 92 per cent expected revenues to decline and cause severe liquidity shortages. A total of 81 per cent of firms expected a loss of

revenue of more than 50 per cent in 2020 when compared with 2021. Reduction in cash flow was the second-biggest problem businesses experienced. Ma, Liu and Gao's (2021) study of the impact of the pandemic on 234 small and medium-sized enterprises in Beijing also found the direct effect of the pandemic on the market to be the most pronounced, compared with the impact on cash flow, costs and employees. And Shafi, Liu and Ren (2020), in a study using online survey data from 184 Pakistani MSMEs, found that most of the responding firms had been severely impacted in terms of decrease in demand, reduction in sales and profit and supply chain disruption. More than two thirds of respondents reported that they could not survive if the lockdown lasted more than two months. And more than 83 per cent of enterprises were unprepared for such a situation and did not have any plan to manage it.

Outside the region, Fairlie et al. (2022) used confidential administrative firm-level panel data in the United States to show that while closure rates in the first two quarters of the pandemic were substantially larger for small enterprises than large ones, recovery in the third quarter was larger for them. Nevertheless, the closure of the relatively larger number of small enterprises concentrated market share among larger enterprises and recovery only partially diluted the concentration. The study attested to the fragility of small enterprises during large economic shocks and their adverse impacts on the competitiveness of markets.

Studies in the Asian region provide some insights on the employment impacts of

the pandemic on MSMEs, although this was not the main concern of almost all of the research. Nevertheless, a cross-country study by Apedo-Amah et al. (2020) found that adjustment of employment to the pandemic took place mostly through leave of absence and reduction in hours, which is the intensity of work, with only a small share of firms laying off workers. Larger firms were significantly more likely to lay off workers or grant extended leave time. But firm size was not significant in other employment-related responses, such as reducing wages or work hours. Sonobe et al. (2021) studied MSMEs in eight developing economies in Asia and found the reduction in employment more severe for the employment of non-permanent employees; but the reduction in employment of permanent or regular employees was also significant. The UNIDO (2020) study in Indonesia found that some businesses considered a reduction of staff because they were unable to continue paying their salaries. Ma, Liu and Gao (2021) determined that the movement restrictions of staff increased firms' costs in Beijing, but their study did not look at the issue of employment adjustment.

Many of the regional studies also offer some insights on the impact that the application of ICT had on firms' performance more than employment in MSMEs, although Sonobe et al. (2021) also looked at the relationship between employment and the share of online sales. They found that more than half of the firms they had surveyed in the eight Asian countries used video conferencing tools and WhatsApp to keep business running during the period when mobility

restrictions were imposed. They were able to offer e-commerce functionality, which it helped them improve their revenue generation. Interestingly, the eight Asian countries study also showed that the share of online sales had a non-linear relationship with employment: The share of online sales and employment was negative until online sales reached about 40 per cent of total sales, suggesting that the use of online sales displaced labour input. But as the share increased further, the relationship became positive, suggesting that larger-scale use of online sales creates jobs.

Shaper and Burgess (2020) noted that the crisis was pushing MSMEs to move online to access markets using digital technology, while Apedo-Amah et al. (2020) also found that firms were increasingly relying on digital solutions as a response to the shocks.

As for policy responses, Sonobe et al. (2021) concluded that MSMEs in the eight Asian countries tended to prefer tax payment deferral, tax rate reduction and loan repayment deferral rather than many other possible forms of government support for MSMEs, even though considerable differences existed among countries and among firms regarding which type of support they preferred. UNIDO's study of MSMEs in Indonesia found that microenterprises most preferred interest subsidies and recap guarantee relief programmes: Their second-most favoured scheme was a six-month tax exemption or tax-rate reduction. Most respondents in the UNIDO study thought that the government should also provide subsidies for rent and utilities. The study also determined that 40 per cent

of the surveyed enterprises had received government support and that most thought it beneficial. However, low-technology firms and small-sized enterprises had less access to the Government's stimulus schemes.

A substantial portion of literature has also emerged on the impact of COVID-19 on MSMEs in Sri Lanka. The work can be broadly grouped into two types: studies that investigated the impact of the first wave of COVID-19 (January to September 2020) and those that looked at the impacts of the second and third waves of the pandemic (from October to December 2020 and from April to August 2021). The first group includes seven major studies based on information collected at the firm level (DCS 2020; Chandrasiri et al. 2020; DOL 2020; IFC 2020a) and industry case studies (Gunawardena 2020; IFC 2020b). The second group includes seven major cross-sectional studies representing inter- and intra-industry analyses of firm-level data (S4IG 2022; DOL 2021; Karunaratne, Ranasinghe and Sammani 2021; PWC 2021; PWC and FCCISL 2021; Sujeeva 2021). Most of the studies that analysed inter- and intra-industry impacts used firm-level data collected through a structured questionnaire that was administered through telephone surveys, e-surveys or field surveys. Some of the studies based on telephone surveys also used follow-up qualitative interviews with a small number of sample units as a strategy to elicit more qualitative information on the subsector-specific impact of COVID-19 (IFC 2020b). Others resorted to multilevel stakeholder consultations to assess the impact on specific industries (Karunaratne,

Ranasinghe and Sammani 2021). In general, the cross-sectional studies generated detailed information on the pandemic impact on MSMEs by focusing especially on the status of business operations, loss of income, employment and investment. Some studies emphasized analysing the gendered impact of the pandemic on MSMEs (IFC 2020b).

These Sri Lankan studies looked at the following issues affecting MSMEs in relation to business operations: whether businesses underwent full closure, partial closure or were not closed due to the pandemic; whether they experienced loss of revenue or job losses; the state of their financial obligations; whether they received support from the State; how they coped; and what support they expected from the institutional support system. One of the most recent studies also examined enterprises' investment in training and development, business owners' education background and training profile (S4IG 2022). That study also gathered information on the willingness to participate in skills development programmes, business coaching, obtaining expert and external consultant advice, new product development and application of digital technology (S4IG 2022).

Almost all these impact assessments looked at seven critical dimensions of enterprise operations: sales, liquidity and insolvency, job losses, firms' responses, expectations, uncertainty about the future and preferred mechanisms of public support. Their findings all attest to the devastating impact that the pandemic

had on MSMEs. The tourism, construction, transport and wholesale and retail sectors were most affected. Those producing for foreign markets were hit harder than firms producing for the domestic market due to higher revenue losses, order cancellations, supply chain disruptions and working-capital shortages. The studies suggest that despite these hardships, some firms managed to keep their businesses functioning by scaling down operations and implementing flexible work arrangements and cost-control measures.

The findings of the Sri Lankan studies looking at job losses in MSMEs by gender, status of employment and skill level align with the findings of the Labour Force Survey data corresponding to the first two waves of the pandemic released by the Department of Census and Statistics. However, all the studies and surveys were carried out before the third and fourth waves of COVID-19 and before Sri Lanka's multiple crises manifested in shortages of essential items, such as power, fuel, gas, other imported inputs, food and pharmaceuticals. Hence, none of them addressed the cumulative effect that the pandemic and ongoing macroeconomic crises had on the operations of MSMEs or the labour market outcomes associated with them, such as job losses, number of hours worked, payment of wages, social security benefits and other allowances. Nor did they consider coping strategies, such as the use of ICT alternatives in enterprise operations (online sales and working from home). The studies are also skewed in terms of the distribution of sample firms covered. Some were heavily skewed towards large-

scale enterprises (DOL 2021 and 2020; Chandrasiri et al. 2020), while others were skewed towards microenterprises (S4IG 2022; Sujeeva 2020). The studies that used data from e-surveys depended heavily on the voluntary self-selection of respondents who had access to the internet. For example, the two studies by the Department of Labour (2021 and 2020) were based on the voluntary participation of business sector organizations rather than on an acceptable sample frame. Some other studies, for example the study by the International

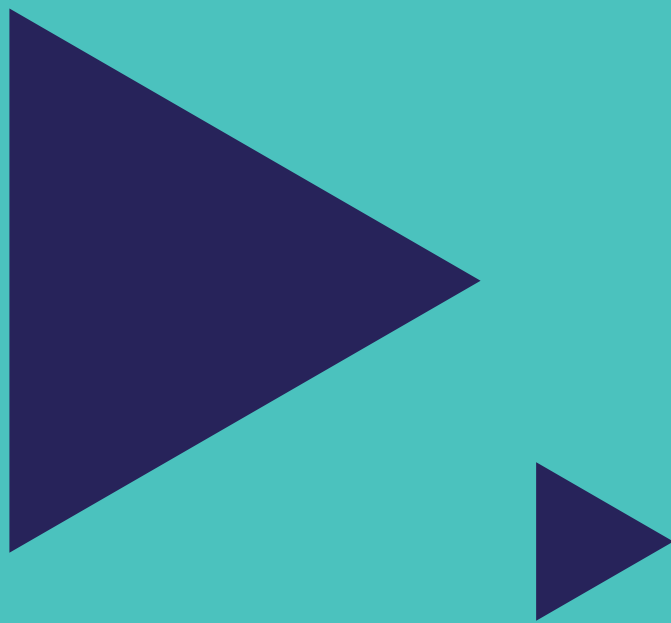
Finance Committee (IFC 2020a), drew sample units at random from the customer lists of four financial institutions and one manufacturing company: (i) Alliance Finance; (ii) Commercial Bank; (iii) National Development Bank; (iv) Sanasa Development Bank and the distributor network of Ceylon Biscuits Ltd. Even the sample that the Department of Census and Statistics (2020) used for its study on MSMEs was selected by field staff at the district level and did not use a national-level sample frame.



A transporter makes adjustments on his crane.
Sri Lanka. © Aamina Nizar/ILO

▶ 3

Definitions, data and overview of survey samples





A welder with protection clothing at work.
Sri Lanka. © Yamuni Rashmika Perera/ILO



This study looked at the impact of the multiple crises on Sri Lanka's MSMEs sector in terms of business operations, employment outcomes and coping strategies and identified the characteristics of enterprises and the external business environment that conditioned these outcomes.

As previously noted, the analysis was based on primary data collected through three components that the ILO and NielsenIQ conducted between January and March 2023: (i) a survey of 521 MSMEs that survived the crisis; (ii) a survey of 50 MSMEs that did not survive it; and (iii) 50 sector-based interviews with officials and officers of government agencies and non-governmental organizations.

The focus of the data collection was to learn how firms that had survived the crisis

and how they had coped. The survey of 50 MSMEs that did not survive the crisis was conducted to determine internal risk factors that made them particularly vulnerable and the constraints to their reviving their business or starting another one. The third component of the data collection exercise obtained the perceptions of field officers about the factors conditioning MSMEs' survival across key sectors, the extent of mortality among such firms and the factors that contributed to their demise. Thus, in addition to providing an up-to-date assessment of the MSME sector in an environment of multiple and continuing crises, insights on factors that condition the mortality among MSMEs in the local community and their impact on employment outcomes is a significant contribution of this study.

► 3.1 Definitions

MSMEs are defined differently in different contexts, but most analyses use the number of employees, value of fixed assets and annual turnover as selection criteria to distinguish MSMEs from large-scale establishments. In Sri Lanka, different institutions and government agencies apply their own definitions, mainly using some form of employment criteria. For the present study, the definitions most used in the international literature were adopted to enable international comparison. Accordingly, micro enterprises are defined as those with fewer than ten workers; small enterprises as those with between ten and

49 workers; and medium-sized enterprises as those with between 50 and 299 workers. Large enterprises, which were not covered in this study, are those with 300 or more employees.

Any survey of MSMEs needs a listing of the population of such enterprises from which to randomly select the sample to be surveyed, if it is to be representative of the population of MSMEs. To date, the only comprehensive database of MSMEs that exists is the Department of Census and Statistics' National Economic Census 2013/14 (DCS 2017), which reported

1,019,681 such enterprises. The Economic Census used a more granular definition of MSMEs than generally used in the international literature and the definitions used were different from those adopted for the present study.¹⁰ According to the definitions the Census used, 92 per cent were micro enterprises, 7 per cent were small enterprises and 1 per cent of medium size. According to this data, MSMEs were mostly concentrated in trade and services in 2013–14, with 41.1 per cent in wholesale and retail trade, followed by other services (29.2 per cent) and manufacturing (23.6 per cent). This source also classified most MSMEs as rural based, with 75 per cent of micro and 60 per cent of small-scale enterprises located in rural areas, while nearly half of all medium-sized enterprises were in the

urban sector. However, the criteria used to classify areas as rural or urban were not based on any internationally accepted settlement criteria but were entirely dependent on the demarcation of local government authorities. Thus, municipal or town councils were designated as urban while *pradeshiya sabhas* were designated as rural, although there are increasing numbers of *pradeshiya sabhas* that display urban settlement characteristics. In any case, this database is nearly ten years out of date and, given the economic shocks experienced since 2018 at the least, it does not constitute a true population of such entities. As well, the outdated list is not even available from the Department of Census and Statistics due to confidentiality reasons.

► 3.2 Sampling frame

One of the most challenging tasks that the study faced was to construct a sampling frame that would yield a representative sample of enterprises in the absence of an up-to-date and accurate listing of MSMEs. In earlier work that involved an establishments survey without a Census-based listing, the list of firms from several sources, such as Sri Lanka Telecom's Rainbow pages and member lists of the Chambers of Commerce, were combined to construct a population of firms from which to draw a sample (Gunatilaka and Chandrasiri 2022a). However, the

devastating economic crisis eliminated firms from this list every day, and these sources can no longer be relied upon for a representative list of firms. An alternative approach for this study was needed. The following explains in detail how the three samples for the three components of data collection were obtained.

Firm-level survey of MSMEs

This was the most important source of data for this present study. The *National Economic Census 2013/14* lists 1,019,681 non-

10 A micro firm was defined as having up to four employees for industry and construction and services, but up to three for trade. A small enterprise was defined as having 5–24 employees for industry and construction (5–15 for services and 4–14 for trade). A medium-sized enterprise was defined as having 25–199 employees for industry and construction (16–74 for services and 15–34 for trade).

agricultural establishments in the country, of which 1,017,267 are classified as MSMEs. Although a sample of 385 MSMEs was sufficient to draw statistical inferences for this population, at 5 per cent margin of error and 95 per cent confidence, a larger sample of 500 was decided upon to allow for the non-responses for certain variables so that a large-enough sample size for all aspects of analysis could be ensured. Moreover, given that only a small share of the sample would have to be allocated to the small and medium categories if the distribution according to the Economic Census was considered, the latter two categories (small and medium) were oversampled to obtain sufficient data to make statistical inferences for these two categories of enterprises possible. Consequently, the final sample had 521 enterprises, of which 433 were micro, 48 were small and 40 were medium-sized. A further categorization by major economic sector was also included in the sample size. Given their share in the *National Economic Census 2013/14*, the sample was allocated across key sectors as follows: manufacturing (24 per cent), wholesale and retail trade (41 per cent), accommodation and food services (9 per cent), education (4 per cent) and other services (9 per cent), while all the others, which accounted for 13 per cent, were allocated into a final category.

In the absence of a sampling frame and given the cost of a listing, non-probability methods based on multistage cluster sampling were used to select a sample with the minimum bias. The sample was spread

across all nine provinces by selecting two districts from Western Province and one district each from the other eight provinces according to the density of firms in the districts, as enumerated by the Department of Census and Statistics' *National Economic Census 2013/14* (DCS 2017). Thus, Colombo, Gampaha, Kurunegala, Kandy, Anuradhapura, Ampara/Batticaloa, Badulla, Jaffna/Vavuniya, Ratnapura and Galle were selected. Next, three to four divisional secretariats were selected from each district, again depending on the density of non-farm establishments as recorded in the Economic Census of 2013/14. Each province's share of the total sample was then allocated across the divisional secretariat according to their share of the total number of enterprises in each division that was enumerated in the Economic Census. The quota of each divisional secretariat was completed by picking up MSMEs using a snowballing method. The questionnaire was administered to the proprietor or manager of the enterprise, whoever was knowledgeable and available to respond.

Sample of closed firms

Given that the main objective of the survey was to assess the impact of the pandemic and the economic crises on the MSMEs, it was imperative that the enterprises that closed after the COVID-19 period were also surveyed to obtain insights about the precipitating conditions and the characteristics that made them vulnerable. An additional sample of 50 shuttered

enterprises was surveyed using a separate questionnaire that focused on the impact of the pandemic and the macroeconomic crises and the coping strategies adopted. It also emphasized the internal risk factors that made them vulnerable to closure. This sample was not distributed proportionately across districts. Instead, enumerators used a snowball method to identify such firms until the sample size of 50 was achieved at the national level. The questionnaire was administered to the proprietor of the enterprise.

Key Informant Interviews (KIIs)

In addition to collecting data from the sample of MSMEs, Key Informant Interviews (KIIs) were conducted with 50 economic sector-specific field-level officers of several organizations involved in supporting MSMEs to obtain their perceptions about the issues examined, particularly about the mortality of the small and medium-sized enterprises and employment implications of COVID-19 and the macroeconomic crises. The officers were from the following government agencies and non-governmental organizations: National Enterprise Development Authority; Small Enterprises Division within the Ministry of Youth Affairs and Sports; the Industrial Development Board; the Industrial Services Bureau; Chambers of Commerce and Industry; Sarvodaya Seeds; and Sanasa

Development Bank. The informants' perceptions were sought to obtain a nuanced understanding of the impact of the crises on MSMEs. A hybrid method of data collection was adopted: There were about ten questions in questionnaire format, in line with the research questions. Many of them were like those asked of respondents in the other two surveys of enterprises. Some of these questions were followed by open-ended discussion, which provided the survey respondents the opportunity to elaborate on their responses to the quantitative questions.

Sector distribution

Most enterprises surveyed were from the wholesale and retail trade and repair of motor vehicles sectors. A fourth of the surviving firms and a fifth of the non-surviving firms belonged to the manufacturing sector. Of the **521 surviving** MSMEs aggregated across major economic subsectors, nearly 30 per cent were in the mining, manufacturing and construction subsectors; 41 per cent in trade; and another 30 per cent in the services sector. Among the **50 closures**, nearly 18 per cent were in the mining, manufacturing and construction subsectors; 48 per cent in trade; and 34 per cent in the services sector. Table 3.1 depicts the distribution of the two samples across the economic subsectors.

► 3.3 Characteristics of the survey samples

Table 3.1. Distribution of samples across economic sectors (%)

Economic sector	521 surviving firms	50 non-surviving firms
Mining and quarrying	0	0
Manufacturing	24	18
Electricity, gas, steam and air conditioning supply	1	0
Water supply	0	0
Construction	3	0
Wholesale and retail trade, repair of motor vehicles	41	48
Transportation and storage	2	0
Accommodation and food service, including tourism-related	9	16
Information and communication (repair of computers, cell phones, communication centres, etc.)	3	8
Financial and insurance activities	1	0
Real estate activities	0	0
Professional, scientific and technical activities	1	0
Administrative and support services activities	0	0
Public administration and defence: compulsory social security	0	0
Education services	4	2
Human health and social work activities	1	0
Arts, entertainment and recreation	0	0
Other services activities	8	8
Activities of households as employers, undifferentiated goods and service producing activities of households for own use	0	0

Source: ILO and NielsenIQ's surveys of 521 MSMEs in 2023 that had survived the economic crises and 50 MSMEs that had succumbed to it.

Formality. A significant proportion of both the surviving and non-surviving enterprises surveyed appear to have been formal according to whether they were registered with various authorities or whether they maintained accounts. By and large, the rate of registration among the surviving MSMEs was greater than

among the closures. Of the **521 surviving** MSMEs, 94 per cent had registered with the local government authority (85 per cent), the district secretariat (47 per cent), the Department of Inland Revenue (41 per cent), the Employees' Provident Fund (35 per cent) or had maintained accounts (73 per cent). Among the **50 closures**, 80 per

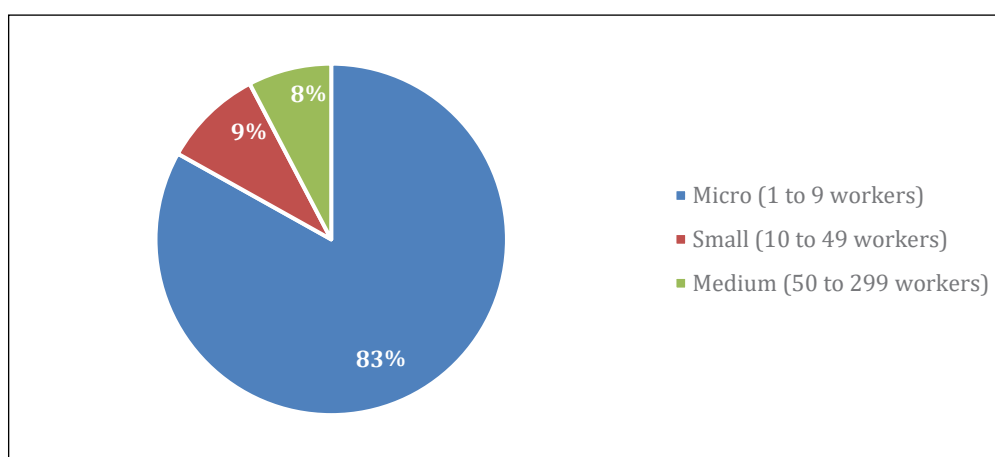
cent of the sample had registered with the local government authority (60 per cent), the district secretariat (30 per cent), the Department of Inland Revenue (16 per cent), the Employees' Provident Fund (10 per cent) or had maintained accounts (48 per cent).

Size. In keeping with the size distribution across the population of MSMEs in 2013, as reported in *National Economic Census 2013/14* (DCS 2017) most enterprises in both samples were micro-sized (figure 3.1). Of the **521 surviving** MSMEs, 83 per cent were micro (total employment at fewer than nine employees), 9 per cent were small (total employment between 10 and 49

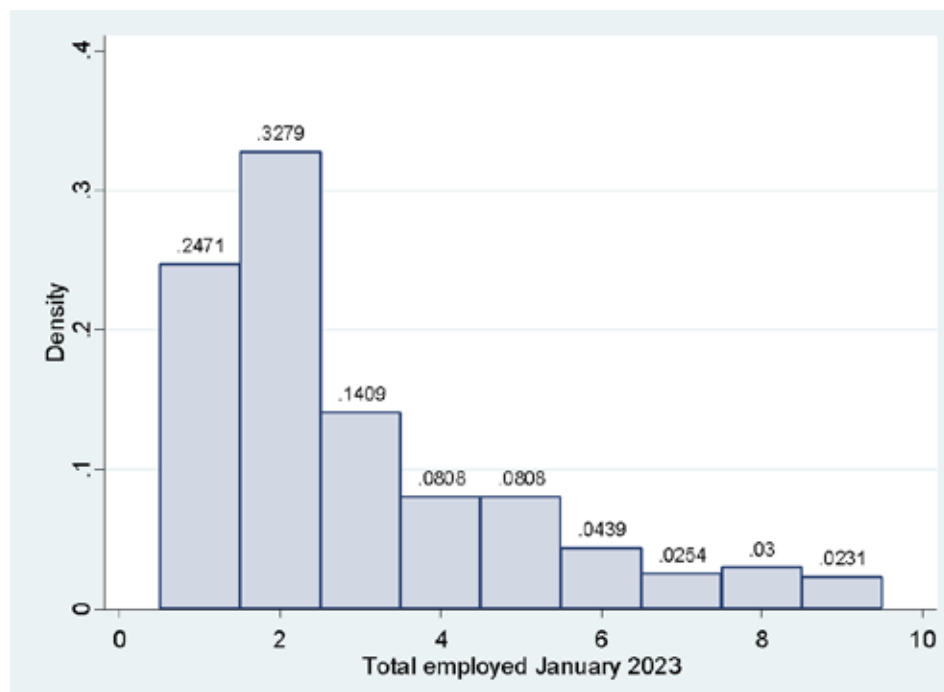
employees), and 8 per cent were medium-sized (between 50 and 299 employees). Of the microenterprises, 70 per cent employed three people or fewer. Altogether, the sample accounted for 4,979 workers, of which 44 per cent were women.

Microenterprises accounted for 24 per cent of all employment; the small sector accounted for 14 per cent and the medium-sized sector for 61 per cent. However, as the histogram in figure 3.2 shows, 70 per cent of the surviving microenterprises had a maximum of three workers, suggesting a relatively undeveloped nature of such enterprises.

Figure 3.1. Distribution of the sample of survivors across the MSME categories, by size (%)



Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crises.

Figure 3.2. Histogram of the density of micro firms, by number of workers

Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crises.

Among the **50 closures**, 94 per cent were microenterprises and 6 per cent were small in size. The microenterprises accounted for 93 per cent of total employment (162 workers) among the 50 closed firms at the time of closure. Total employment in these firms a few years prior to their closure had been about the same (165), but the share of microenterprises was larger (82 per cent) than the share of small enterprises (18 per cent).

Ownership. Most of the enterprises surveyed were owned by a single proprietor, with women owning at least a fourth of them. Most women-owned firms were microenterprises. Among the **521 surviving**

MSMEs, 89 per cent were single proprietor-owned, and 8 per cent were owned by two proprietors. Of all surviving enterprises, 26 per cent were owned by women. Of all the enterprises owned by women, 90 per cent were microenterprises. Of the microenterprises owned by women, 30 per cent were engaged in manufacturing, 27 per cent in wholesale and retail trade and 20 per cent in other services activities. Of the **50 closures**, 94 per cent were single proprietor-owned businesses, 6 per cent were owned by two proprietors, and 44 per cent were owned by women. Of all the non-surviving enterprises owned by women, 95 per cent had been microenterprises.

Proprietors' level of education, training and experience. Most principal proprietors had at least an O-level education but had not gone to university. For example, the principal proprietor of 36 per cent of the **521 surviving** MSMEs had passed the O-level exams, while 44 per cent had gone through the A-levels but had not proceeded to tertiary education. Proportionately, more women proprietors were better educated. For example, while 36 per cent of male and female proprietors had passed the O-level exams, a greater share of women proprietors (48 per cent) had gone through the A-levels but had not gone to university. As for prior experience, 36 per cent of businesses with male proprietors and 29 per cent of enterprises with female proprietors had operated a business before the current one affected by the crisis. Of the enterprises that only men owned, 36 per cent of the proprietors had worked before as employees; but of those that women owned, only 29 per cent of proprietors had worked previously. At least one proprietor among 73 per cent of the enterprises used the internet, while 87 per cent could read and understand English.

Among the principal proprietors of the **50 closed** enterprises, 50 per cent had passed the O-levels, while 38 per cent had got through the A-levels but had not proceeded to tertiary education. A greater share of women proprietors than men had passed their O-levels (36 per cent of men and 68 per cent of women), but a greater share of men (46 per cent) had gone through the A-Levels but had not gone to university. At least one proprietor among the 58 per cent of the closed enterprises had operated a business previously: a third of the women proprietors and nearly 80 per cent of the men. Among

the enterprises that only men had owned, 78 per cent of the proprietors had worked before as employees; but of those that women owned, only 32 per cent of the proprietors had worked as employees. For 44 per cent of proprietors, it was the first closure they had experienced.

Among the enterprises that had closed, 42 per cent of the proprietors thought that they would have been able to manage their business better if they had been trained or received advice on general business management, accounting and planning; 40 per cent said they would have fared better with training in customer relations; and 36 per cent said they would have benefited from training in technologies to increase productivity. A relatively small proportion, at 16 per cent, thought advice in marketing and accessing foreign clients would have been helpful.

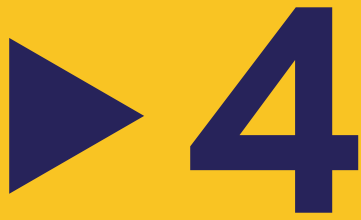
Sources of initial finance. Most entrepreneurs had depended on their own funds or on funds from relatives and friends to start their business. Some depended on other sources in addition to their own funds. For example, 72 per cent of the proprietors of surviving firms and 76 per cent of the closed firms' proprietors had used their own funds. Only 21 per cent of proprietors of surviving firms and 34 per cent of the closed firms had used funds from relatives or friends to start their business. And only 21 per cent of proprietors of surviving firms and 16 per cent of the closed firms had taken funds from a State-owned bank, while 14 per cent of proprietors for both the surviving and closed firms had started their enterprise by obtaining capital from a private bank.

Engagement in international trade and other characteristics. Most surviving enterprises had not engaged in international trade. Only 6 per cent of them were involved in international trade, with nearly 3 per cent both importing and exporting. None of the enterprises that closed had exported. Most surviving MSMEs undertook subcontracting work (93 per cent), but only 36 per cent of firms that had closed had undertaken any subcontracting work. Slightly more than two thirds (67 per cent) of the surviving enterprises used labour-intensive methods of production. The ratio was somewhat higher for micro and small enterprises (at 68 per cent) and somewhat lower for medium-sized enterprises (at 58 per cent).

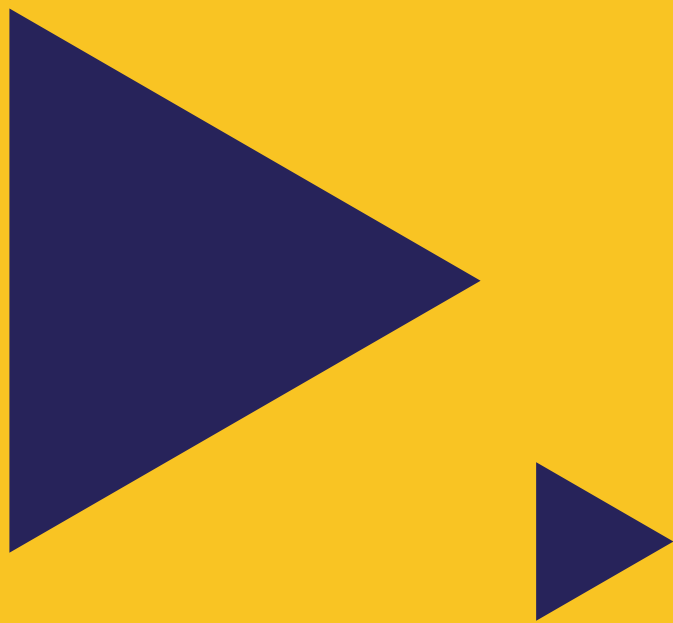
Characteristics of the interviewed informants. The 50 informants who were interviewed came from the following organizations across the selected districts: (i) Small Enterprises Development Division of the Ministry of Youth Affairs, based in district secretariat offices (ten); (ii) regional office of a Chamber of Commerce (ten); (iii) National Enterprise Development Authority based in district or divisional secretariat offices (eight); (iv) Industrial Development Board officials (eight); (v) Sarvodaya Seeds (five); (vi) Sanasa Development Bank (five); and (vii) Industrial Services Bureau (four).



A women in the coir industry.
Sri Lanka. © Asitha Seneviratne/ILO



Impact of the crises





Two workers transfer inland fish to new tanks at a fish farm.
Sri Lanka. © Yamuni Rashmika Perera/ILO

This chapter investigates the impact of the COVID-19 and economic crises on MSMEs along several dimensions: overall operations, economic sector, the severity

of different dimensions of the crisis and, most importantly, employment and use of labour.

► 4.1 Overall impact

Nearly 80 per cent of the surviving MSMEs were severely or very severely impacted by the pandemic, and 89 per cent were severely or very severely impacted by the economic crisis of 2022. These perceptions were confirmed by the interviewed informants, who thought that all enterprises were affected at least moderately; some 86 per cent of the MSMEs in their locality were severely or very severely impacted by the pandemic, they said, but proportionately more were

affected by the economic crisis (table 4.1). Generally, the impact of the economic crisis appears to have been far more widespread and severe than the pandemic impacts (table 4.2). More than half of interviewed informants saw the pandemic hitting the hospitality, construction and trade sectors the hardest. Thereafter, the economic crisis piled up on the sectors hit by the pandemic while pushing other sectors, such as manufacturing and trade, also into difficulties.

Table 4.1. Perceived severity of impact of the COVID-19 and economic crises on surviving MSMEs (%)

	521 surviving MSMEs		50 informants	
	COVID-19 (2020, 2021)	Economic crises (2022)	COVID-19 (2020, 2021)	Economic crises (2022)
Very low impact	3	2	0	0
Low impact	5	2	0	0
Moderate impact	12	9	14	4
Severely impacted	14	18	34	4
Very severely impacted	66	69	52	92
Total (%)	100	100	100	100
Total (number)	521	521	50	50

Source: ILO and NielsenIQ's survey of 521 MSMEs that have survived the economic crises and interviews with 50 informants.

Table 4.2. Severity of impact, by COVID-19 or economic crises and economic sector (%)

	COVID-19		Economic crises	
	Moderate	High	Moderate	High
Mining and quarrying	28	36	26	40
Manufacturing				
Food and beverages	4	18	0	100
Textiles and garments, leather products	0	20	0	100
Furniture, metal and plastic products	2	30	14	86
Non-metallic mineral products (bricks and tiles, clay products, cement works, etc.)	4	34	6	90
Other manufacturing	2	28	2	64
Construction	0	56	2	98
Wholesale and retail trade	6	56	16	78
Repair of motor vehicles and motorcycles	0	6	16	82
Transportation and storage	0	0	6	94
Accommodation and food service activities, including tourism-related	2	66	0	100
Information and communication (repair of computers, cell phones, communication centres, etc.)	0	0	18	78
Other services activities	28	36	26	40

Source: ILO and NielsenIQ's interviews with 50 informants.

Movement restrictions associated with the COVID-19 response had severely impacted most of the surviving firms, more so than illness associated with the pandemic. In contrast, power cuts, diesel petrol shortages severely impacted more MSMEs than gas shortages. Most enterprises were severely affected by the rise in prices of utilities and imported and local raw materials and the shortages of such inputs. The rise in interest rates following the stabilization measures, the slump in local demand and the reduced and disrupted logistic services also took a toll (table 4.3). Contrary to expectations, severity scores reported by the proprietors of the closed MSMEs were low relative to

what proprietors of the surviving firms reported. The reasons may be due to the informal nature and the micro-level business operations of the closed MSMEs.

There was also a significant easing off of the perceived severity in impact of some key factors (fuel shortages, COVID-19-related illnesses, etc.) due to the vaccination drive at the end of 2021 and the policy reforms in the first half of 2023, compared with the impact of some other factors whose intensity of impact increased. For example, the impact of the rise in prices and shortages of utilities and imported and local raw materials and the soaring interest rates during the same period were

perceived as very severe. Local demand continued to be perceived as subdued despite several fiscal and monetary policy reforms by the Government. In addition, foreign demand was perceived as declining, possibly due to the global economic contraction. The availability of labour and skills may continue to be constrained

during the economic reform period due to the outmigration of skilled and semi-skilled workers and resource constraints faced by education and training service providers. Unfortunately, the migration of skilled and semi-skilled workers may weaken the recovery of MSMEs.

► 4.2 Impact on employment and the use of labour

Employment contracted by one fifth in the surviving firms, down from 6,317 workers before COVID-19, to 4,979 in 2022 due to the economic crisis. Employment among the small enterprises contracted the most (at 23 per cent), with the micro and medium-sized firms close behind (at 22 per cent and 21 per cent, respectively). Before COVID-19 struck, 78 per cent of the enterprises in the sample were micro, 13 per cent small, 7.1 per cent medium and 1.3 per cent were large. Although the micro and small enterprises that survived managed to recover some jobs that they had lost, seven of the medium-sized enterprises had been large-sized before 2020 but the crisis had forced them to downsize.

The non-surviving firms had also downsized with the onset of the crisis prior to closing. At the time of closure, 94 per cent were micro and 6 per cent were small, whereas a few years previously, 82 per cent had been micro and the rest were small. Total employment (162 at the time of closure) had dropped by only three workers before closure. Microenterprises accounted for 93 per cent of total employment before their closing.

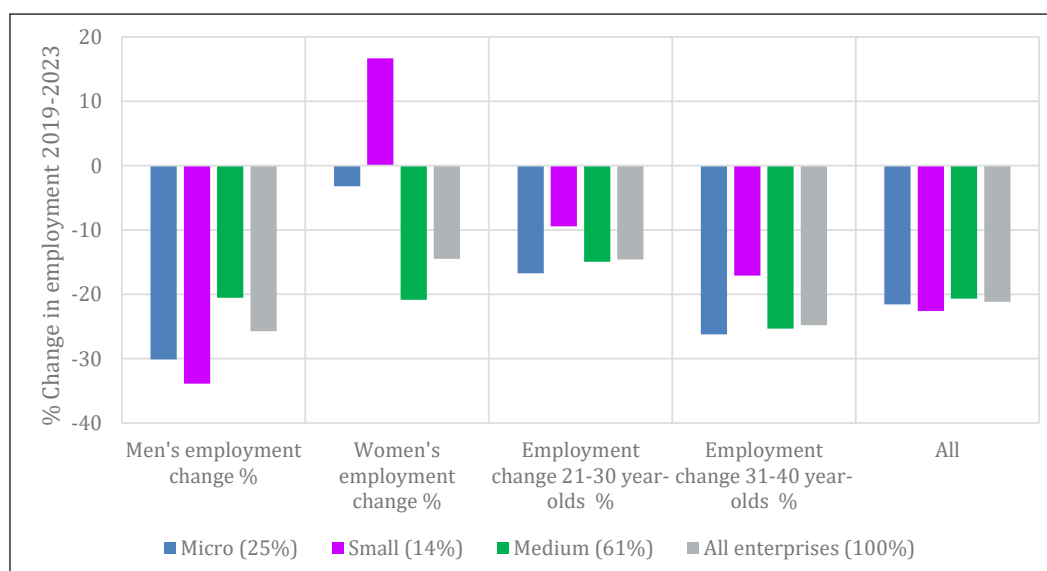
Women's total employment in small enterprises increased but decreased in the other two size categories (figure 4.1).

Table 4.3. Proportion of enterprises severely or very severely affected, by different aspects of the crises (%)

	521 surviving MSMEs				50 closed MSMEs
	Micro	Small	Medium	All	
1. Rise in prices of utilities, electricity, water, etc.	88	94	93	89	79
2. Movement restrictions associated with COVID-19 response	88	94	85	88	77
3. Power cuts	87	94	100	88	80
4. Diesel or petrol shortages	87	90	98	88	77
5. Shortages and rise in prices of local raw materials	86	90	88	87	79
6. Shortages and rise in prices of imported raw materials	83	88	90	84	75
7. Illness associated with COVID-19	77	92	80	79	66
8. Rise in interest rates	74	83	80	75	61
9. Political instability, curfews and civil unrest	72	90	78	74	57
10. Local demand slump	70	69	85	71	58
11. Reduced and disrupted logistic services, such as public transport	68	77	73	69	49
12. Clients not paying bills	58	50	73	58	41
13. Gas shortages	52	46	60	52	41
14. Greater administrative and institutional disruptions and bottlenecks	49	67	55	51	36
15. Availability of labour	44	44	65	46	30
16. Relations with workers, absenteeism	38	67	58	42	28
17. Availability of skills	38	56	63	41	26
18. Loss of equipment obtained through hire purchase because of inability to pay instalments	40	23	45	39	28
19. Foreign demand slump	21	29	23	22	16
Total number of enterprises	433	48	40	521	50

Source: ILO and NielsenIQ's surveys of 521 MSMEs in 2023 that had survived the economic crisis and 50 MSMEs that had succumbed to it and 50 key informant interviews.

Figure 4.1. Change in total employment among the 521 surviving MSMEs, by firm size and gender and age of workers, 2019–23 (%)



Note: Figures in parentheses show share in total employment before the pandemic. Numbers in parenthesis show the distribution of employment across the size categories as of January 2023.

Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crisis.

Nevertheless, the decline in aggregate women's employment in the micro sector was relatively marginal, whereas aggregate men's employment declined by nearly a third; women's and men's employment each declined by a fifth in the medium-sized enterprises. However, total employment change within each size category masks how individual firms fared. In looking at the number of enterprises in which women's employment grew, 70 of the 521 businesses ended the crises period with more women workers than they had before the crises. For example, 47, 12 and 11 enterprises in the micro, small and medium-sized sectors, respectively, hired more women. These enterprises were mainly in the manufacturing, trading, accommodation and food service activities and in other services. As for employment by age, employment contraction among persons

aged 31–40 in all three size categories was relatively larger than employment in the 21–30 age group.

Total employment in the sample of 50 non-surviving firms contracted marginally, by 2 per cent, from before the crisis to the time of closure. This was due to a 43 per cent decline in aggregate employment in small firms and a 7 per cent increase in the employment in microenterprises due to the crisis, which eventually led to their closure. Most of the interviewed informants thought that the crisis reduced the employment of medium-skilled and low-skilled workers more than the employment of highly skilled workers.

Around half of the proprietors of all 521 surviving MSMEs found it difficult to retain or hire people because they could not

pay enough to cover their rising living costs. About 44 per cent thought that employee morale was low, and nearly as many thought that employees were less productive than they were before the crisis.

Substantial numbers of enterprises lost both skilled and unskilled workers due to their migrating abroad (overseas migration of skilled workers was 18 per cent) or returning to their home districts (table 4.4).

Table 4.4. Impact of economic crisis on the use of labour in MSMEs (%)

	Agree
You lost some skilled workers because they migrated abroad.	18
You lost some unskilled workers because they migrated abroad.	8
You lost some skilled workers because they went back to their home districts.	21
You lost some unskilled workers because they went back to their home districts.	12
You are finding it difficult to retain or hire people because you can't pay enough to cover their rising living costs.	50
Employee morale is low.	42
Employees are less productive now than before the crises.	40

Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crisis.

Most of the interviewed informants agreed that MSMEs' risk of bankruptcy and closure was high, that lenders foreclosed on loans, that workers were migrating overseas and that proprietors of the enterprises that did not survive were looking for work with other employers (table 4.5).

Table 4.5. Other impacts of the economic crises on MSMEs (%)

	Agree
The risk of bankruptcy and closure for MSMEs is high.	100
Banks and finance companies have foreclosed on loans taken to finance purchase of capital and transport equipment.	84
Employees of MSMEs who lost their jobs are migrating abroad.	82
Proprietors whose enterprises didn't survive are now looking for work as employees themselves.	86
Women and vulnerable groups such as the disabled used to have a better chance of employment in MSMEs than in large companies.	41
Economic policy environment is supportive of MSME entrepreneurs.	24
The status of employee welfare in MSMEs is satisfactory.	34

Source: ILO and NielsenIQ's interviews with 50 informants.

The surviving MSMEs now have considerable levels of indebtedness that is likely to hamper their survival, recovery and growth. As table 4.6 shows, average total

financial obligations of micro, small and medium-sized establishments up to the end of 2022 amounted to 786,655 rupees, 1,996,250 rupees and 3,802,601 rupees.

Table 4.6. Indebtedness among surviving MSMEs

Item	Rupees		
	Micro	Small	Medium
Rent	36 552	145 000	103 325
Repayment of loans and interest (purchase of land, machinery and equipment)	515 203	982 854	2 154 400
Repayment of loans and interest (working capital-related borrowings)	17 002	29 021	87 375
Unsettled bills (electricity, water, telephone)	196 737	583 125	1 182 500
Unsettled payments to business suppliers	1 312	16 667	270 000
Unsettled employee salaries and Employees' Provident Fund and Employees' Trust Fund (superannuation) payments	19 850	239 583	5 000
Average total financial obligations	786 655	1 996 250	3 802 601

Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crisis.

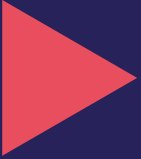
► 4.3 Summary conclusions

The impact of the COVID-19 and the economic crises on the MSMEs was examined using multiple criteria, such as business closure and job losses in terms of enterprise size, economic subsector and vulnerable groups. The pandemic severely or very severely impacted the business operations of nearly 80 per cent of the surviving MSMEs, while the economic crises of 2022 similarly impacted 89 per cent of them. Employment contracted by a fifth in the surviving firms during the multiple crises, and small and medium-sized firms downsized, which largely affected male employment but only marginally affected women's employment because women

were concentrated in the microenterprise sector, mostly in operations with three workers or fewer. Substantial numbers of enterprises lost both skilled and unskilled workers due to migration to other parts of Sri Lanka or abroad. About half of all the proprietors of surviving MSMEs found it difficult to retain or hire people because they could not pay enough to cover their rising living costs. Continuing low employee morale and low productivity are likely to hamper recovery. The crises left high levels of indebtedness in their wake, which will impede the continued survival and growth of the MSMEs.

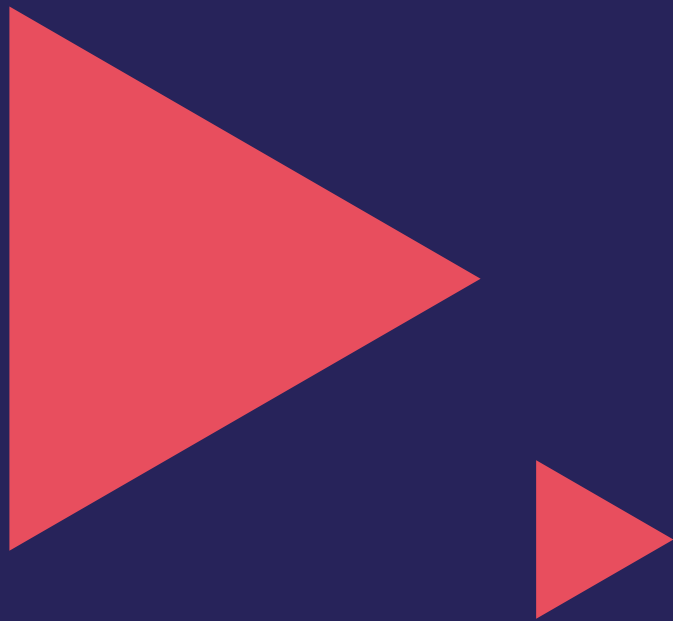


A worker cuts paper for printing.
Sri Lanka. © Yamuni Rashmika Perera/ILO



5

Coping strategies and institutional support





A worker decorates and paints clay pots after burning.
Sri Lanka. © Yamuni Rashmika Perera/ILO

This chapter looks at how MSMEs responded to the crises and the kind of entrepreneurial behaviour that proprietors and managers adopted. The analysis used the information from the surveys regarding how MSMEs' proprietors responded to different types of challenges and how they behaved during the period of multiple crises. The analysis here uses the conceptual framework of adaptive and passive behaviours and the dynamic capabilities developed in the recent theoretical literature (and reviewed in chapter 2) to investigate the coping strategies that MSMEs adopted. While the use of modern technology can reveal MSMEs' dynamic capability, this chapter

explores the role of digitalization in more detail, given its importance in business adaptation that occurred in other countries.

The next section looks at the coping strategies that enterprises adopted from the perspective of adaptive and passive behaviours. It also discusses the extent to which MSMEs displayed dynamic capabilities in response to the crises. Section 5.3 analyses the survey data for insights on the extent to which digitalization strategies formed part of the adaptive behavioural responses that MSMEs adopted. Section 5.4 summarizes the main findings.

► 5.1 Adaptive and passive behaviours of MSMEs during the crises

Crises management behaviour of MSME proprietors was examined using the data from the three research components in terms of the mix of decisions that proprietors and managers of surviving and non-surviving MSMEs took. The results are summarized in table 5.1. The evidence clearly shows a distinct difference between the surviving and non-surviving firms in their adaptive and passive behaviours during the crises period.

The coping strategies of the non-surviving MSMEs closely associated with passive behavioural characteristics, such as laying off workers (39 per cent), reducing working hours (38 per cent), borrowing money from other sources (43 per cent) and liquidating assets (46 per cent). Relatively more of

the non-surviving firms reduced workers' salaries (30 per cent of enterprises) than did the surviving MSMEs (20 per cent).

In contrast, relatively more of the surviving firms took more adaptive measures and tried to find appropriate ways to overcome the challenges presented by the multiple crises. Their adaptive behaviour is reflected in the adopting of several business strategies, such as using ICT for business operations (38 per cent), sourcing from new suppliers (38 per cent), introducing flexible work practices (39 per cent), adjusting the product or service mix to the labour that was available (39 per cent), using online sales and social media to market products (32 per cent) and rescheduling bank loans (36 per cent).

Evidence from the 50 interviewed informants provides strong support for the adaptive behaviour of some MSMEs. For example, interviewed informants said that

some MSMEs found new local markets (86 per cent), moved into a new line of business (74 per cent) or found new foreign markets (56 per cent).

Table 5.1. Crises management behaviour of MSME proprietors and managers (% answering “yes”)

Coping strategies adopted	Surviving enterprises		Non-surviving enterprises	Informants	
	COVID-19*	Economic crisis**		Some MSMEs	Most MSME
Employment-related measures					
Laid off some workers	28	24	39	44	34
Reduced the working hours of workers	43	28	38	36	52
Reduced workers' salaries	27	20	30	38	44
Instituted work-from-home practices	26	20	20		
Introduced flexible work practices	39	36	24		
Adjusted product or service mix to the labour that was available	39	31	26		
Rescheduled bank loan	36	30	27		
Borrowed money from other sources	35	29	43		
Liquidated some assets	25	21	46		
Used online sales and social media to market products	32	30	14		
Used ICT for business operations	38	37	16		
Started sourcing from new suppliers	38	35	26		
Moved into a new line of business	13	12	18	74	26
Started producing a different mix of goods or services	22	19	26		
Found new local markets				86	12
Found new export markets				56	16
Reduced production capacity				28	70
Cut costs				26	74

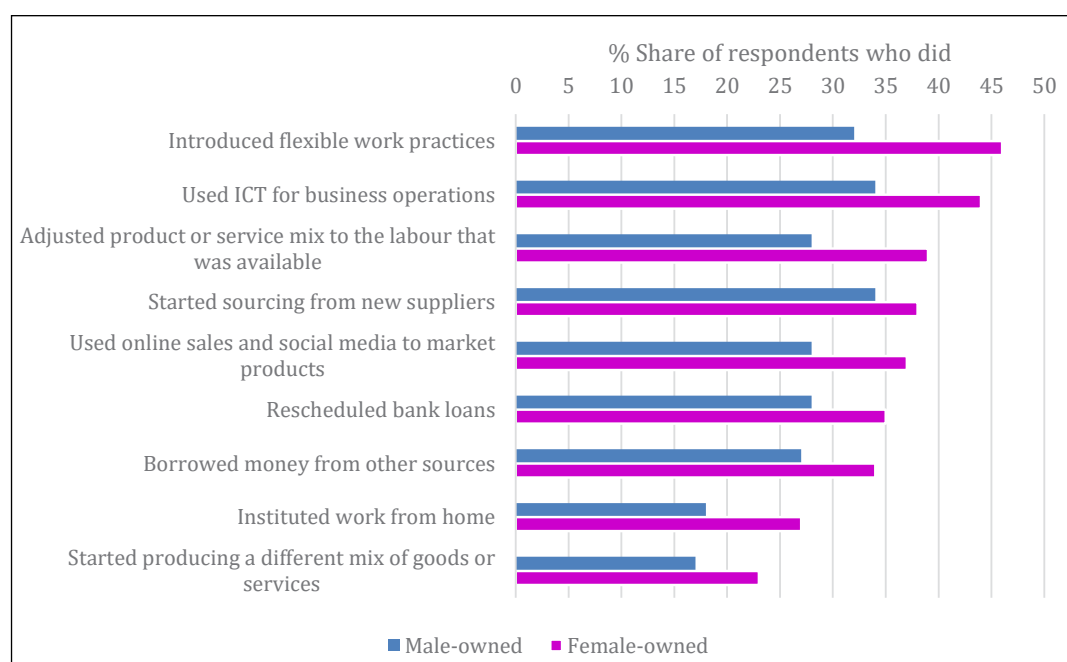
Note: *March 2020–December 2021; ** January 2022 to January 2023.

Source: ILO and NielsenIQ's surveys of 521 MSMEs in 2023 that had survived the economic crisis and 50 MSMEs that had succumbed to it and interviews with 50 informants.

Interestingly, relatively more female-owned MSMEs were seen as having been proactive in their coping strategies, particularly in introducing flexible work practices, instituting work-from-home

practices, using ICT for business operations, adjusting the product or service mix to the labour that was available and using online sales and social media to market products (figure 5.1).

Figure 5.1. Coping strategies adopted by proprietors of surviving MSMEs, by gender (%)



Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crises.

The analysis now turns to the extent to which the MSMEs in the sample applied dynamic capabilities to survive the crises. Dynamic capabilities are defined as the organizational and strategic routines by which firms obtain new configurations of resources in response to changes in product and factor markets. Dynamic capabilities serve to enhance the likelihood of organizational success, especially in crisis situations, and these capabilities may contribute to the resilience of MSMEs, depending on country-specific situations. Interestingly, the data suggest that employers and employees responded to the challenges of the crisis with dynamic capabilities. As

table 5.2 shows, employers cut costs and eliminated waste, improved customer services, used more digital technologies in business operations, concentrated on product development and e-commerce and identified new customers. These were also key strategic areas of business survival that the interviewed informants had observed. The informants also noted that MSMEs identified new sources of raw materials, used and developed local substitutes for imported inputs and shifted to less vulnerable sectors to cope with the crises. Employees' positive responses included developing new skills (multitasking, digital skills, etc.), working more diligently and

being motivated and proactive. These positive responses were more noticeable among the small and medium-sized enterprises, relative to microenterprises,

which may have had fewer resources and less capacity to respond in this way (table 5.3). For example, one informant noted:

“It is observable that most small and medium sector businesses are making a conscious effort to manage their operation somehow as they cannot terminate or quit the business operation suddenly. They carefully move with effective cost management techniques while managing efficiency and productivity.”

Table 5.2. Proactive responses during the crises and after (% saying yes)

Response to crises	Yes MSMEs	Yes informants
Cut costs and eliminated waste	83	94
Improved customer services	71	90
Identified new customers	60	78
Improved employee safety and welfare facilities	58	68
Employees are motivated and proactive	57	60
Employees have now started working more diligently	54	68
Looking to hire more women and employees with disabilities	54	
Employees are fearful about losing jobs, so they are working harder	48	
Using more digital technologies in business operations	31	92
Concentrating on product development and e-commerce	30	90
Employees have developed new skills (multitasking, digital skills, etc.)	27	68
Investing in the development of workers' skills	23	
Looking to hire more workers	23	
New opportunities for export have emerged	13	
Actively looking to export		90
Identified new sources of raw material		78
Using and developing locally based substitutes for imported inputs		72
MSMEs are looking to shift to less vulnerable sector		86
Total (number)	521	50

Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crisis and interviews with 50 informants.

Yet, another informant remarked that certain features of the microenterprises made them more adaptable and agile in a crisis:

▀▀ Microbusinesses can manage the consequences of negative impact to a greater extent than medium- or larger-scale businesses. Microbusinesses can even switch to another product immediately, as their processes are simple and mostly manual.

The positive ways in which proprietors and employees responded to the multiple crises are very encouraging and need to be supported and reinforced by stakeholders tasked with the development of MSMEs.

Table 5.3. Proactive responses by surviving MSMEs during the crises and after, by enterprise size (% answering “yes”)

Responses	Micro	Small	Medium	All
Cut costs and eliminated waste	83	96	98	85
Improved customer services	72	77	82	73
Identified new customers	61	67	73	63
Employees are motivated and proactive	60	64	77	62
Employees have now started working more diligently	59	65	70	60
Improved employee safety and welfare facilities	55	81	84	60
Employees are fearful about losing jobs, so they are working harder	47	62	78	51
Using more digital technologies in business operations	30	38	48	33
Concentrating on product development and e-commerce	29	38	53	32
Employees have developed new skills (multitasking, digital skills, etc.)	26	37	42	29
Investing in the development of workers' skills	21	38	46	25
Looking to hire more workers	23	30	33	24
New opportunities for export have emerged	15	6	16	14
Looking to hire more women and employees with disabilities	13	13	13	13
Total (number)	433	48	40	521

Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crisis.

► 5.2 Digitalization

The extent to which MSMEs instituted digitalization measures to respond to the crisis was examined using data from the surveys on surviving and non-surviving MSMEs. The findings indicate that social media was the most widely utilized digital medium among the MSMEs (table 5.4). Interestingly, the proportion of digital media usage in business operations by female-owned MSMEs was much larger relative to the male counterparts. Moreover, of the five types of ICT applications, use of social media was significantly higher in the female-owned MSMEs (table 5.5). However, social media was largely used

for information searching rather than for business transactions. Other ICT applications, particularly online sales (25 per cent) and online safety procedures (20 per cent), were far less popular and, in fact, relatively more MSMEs that survived (30 per cent) used online marketing platforms and computerized operating systems than those that had closed. Among the MSMEs that had closed, a somewhat small proportion had resorted to online sales and ICT communications, and computerized operating systems, at 14 and 18 per cent, respectively.

Table 5.4. Use of digital media by surviving and non-surviving MSMEs (%)

Digital media	521 surviving MSMEs		50 closed MSMEs	
	Yes	Not required	Yes	Not required
Online marketing and communication	30	15	18	12
Online safety procedures	20	15	10	16
Computerized operating systems (accounts, taking purchase orders, bookings, etc.)	31	12	18	14
Online sales	25	14	14	10
Use of social media	42	10	34	8

Source: ILO and NielsenIQ's surveys of 521 MSMEs in 2023 that had survived the economic crisis and 50 MSMEs that had succumbed to it.

Table 5.5. Use of digital media by surviving MSMEs, by gender of proprietor (%)

Digital media	Male-owned	Female-owned	Total
Online marketing and communication	28	33	30
Online safety procedures	19	22	20
Computerized operating systems (accounts, taking purchase orders, booking etc.)	30	36	31
Online sales	24	27	25
Use of social media	39	49	42

Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crisis.

That some digital technologies were more popular and used more than others during the crises was echoed by a Skills for Inclusive Growth (S4IG 2022) study on MSMEs in the tourism sector that found high use of social media but low use of digital technologies in business operations, such as computerized operating systems, monitoring online reviews and the use of digital equipment. Cross-section sample-based evidence from the Skills for Inclusive Growth study also revealed large skill gaps in the use of digital technologies among high-, medium- and low-skilled workers. Similar skills deficits may have constrained the MSMEs surveyed for the present study.¹¹

Other empirical evidence on digital usage in Sri Lanka during the COVID-19 period certainly points to a lack of awareness on the benefits of digitalization as the main reason for non-use (44 per cent), followed by no use or no interest (24 per cent), not knowing how to use it (8 per cent), no access to a device, computer or smartphone (8 per cent) and being too expensive (6 per cent) (LIRNEasia 2021).¹² However, in contrast to enterprises producing for the local market, exporting firms cannot run their businesses without access to digital technologies. For example, a recent study based on a sample of 329 exporting small and medium-sized enterprises revealed that they all had access to the internet (USAID 2022). The study also found that the digital maturity of women-owned or led enterprises was greater than among the non-women-owned or led enterprises, although the gap was small (USAID 2022).¹³ This study also revealed wide variance in

the digital maturity of Sri Lankan small and medium-sized exporters. But unlike the previously cited USAID study of exporting small and medium-sized enterprises, only a small proportion of the sample of surviving MSMEs covered in this study was involved in international trade: Only 6 per cent was engaged in international trade, and none of the enterprises that had closed were exporting. The low trade intensity of the MSMEs and the corresponding low levels of advanced ICT use among them, as revealed in the present study, is more representative of the true situation of ICT use in business operations among Sri Lankan MSMEs.

Policies to strengthen Sri Lanka's digital ecosystem will help improve MSMEs' outcomes and benefit the national economy. These include measures such as increasing digital access to trade and regulatory information, enhancing the existing online resources available to MSMEs and organizing knowledge-sharing programmes to increase access to and learning about digital technologies. These capabilities will enable MSMEs to find new clients and generate more business. The recent study by USAID (2022) cited previously also argued that Sri Lankan businesses must focus on a holistic digital transformation to ensure effectiveness. It also showed that small and medium-sized enterprises' digital maturity is affected by factors outside of their control, such as information technology infrastructure, which is better in certain provinces than others.¹⁴ The study's conclusion recommends that appropriate digital

11 The digital skills gap among high-, medium- and low-skilled workers was 59, 69 and 81 per cent, respectively (S4IG 2022).

12 Based on a representative sample of 1,580 households.

13 Based on a sample of 329 small and medium exporters. The study employed a mixed-method approach, including interviews, desk research and field surveys. The digital maturity of small and medium-sized enterprises was surveyed across five core dimensions (enabling environment, strategy, technology, operations, human capital and culture).

14 For example, the percentage of households owning computers in Eastern, Northern and Uva provinces was 11.4, 12.4 and 12.9 per cent, respectively, compared with 35.8 per cent in Western Province in 2022. Similarly, computer literacy was 30.2, 31.4 and 24.1 per cent in Eastern, Northern and Uva provinces, respectively, compared with 47.5 per cent in Western Province in 2022 (DCS 2023).

infrastructure be constructed to facilitate the transition from “face-to-face” business activities to “digital or online” business activities. Such policy measures can help grow the digital economy. The USAID study also found that while small and medium-sized enterprises have stable operations and processes to manage their businesses, there is substantial room for improvement by incorporating digital initiatives into business processes.

The low level of ICT adoption by the MSMEs in this present study reveals two important constraints that if eased would help business recovery: (i) lack of awareness

of potential benefits of ICT applications in business operations among MSMEs and weak ICT infrastructure systems; and (ii) low levels of research and development orientation and the underdeveloped character of the industry and service sectors of Sri Lanka. Tangentially, these findings also suggest that MSMEs need to reskill and upskill to deliver new business models for business recovery and growth in the post-crises period. For this, MSMEs must craft a talent enhancement strategy that develops employees’ critical digital and cognitive capabilities, their social and emotional skills and their adaptability and resilience (Agrawal et al. 2021).

► 5.3 Institutional support and stimulus packages

The present study set out to assess how institutional structures dedicated to MSME support and development helped them as they struggled with the fallout of the crises on their businesses and adopted various strategies to survive.

Successive Sri Lankan governments have focused on promoting MSMEs. Consequently, decades of regulatory and promotional activities by the Government produced highly complex and heterogeneous institutional support structures focused on MSME development and a plethora of state agencies with piecemeal policies and multifaceted programmes to encourage MSME growth. The COVID-19 pandemic response produced an additional layer of interventions. This section examines both sets of policy interventions.

Institutional support

There are altogether four types of institutions involved in promoting MSMEs in Sri Lanka: those maintained by the Government, by the private sector, by the non-governmental sector and by entities supported by multilateral and bilateral donors. While a multitude of institutions can offer a range of services catering to the needs of the MSMEs, which can be especially useful in a combined crises situation, it can also lead to the confusion of beneficiaries, the duplication of efforts and to resources being spread too thinly for effectiveness.

This study explored the effectiveness of prevailing institutional support structures for MSMEs through information collected from the surviving and non-surviving MSMEs. The effective service outreach of the

Government, the private sector and non-governmental organizations was examined by asking the surveyed proprietors about whether they received support from four major organizations engaged in MSME development during the period of multiple

crises (table 5.6). The table shows that the overwhelming majority did not receive any support, suggesting inefficient service delivery by both government agencies and non-governmental organizations.

Table 5.6. Proportion of MSMEs that did not receive any support %

Institution	521 surviving MSMEs				50 closed MSMEs
	Micro	Small	Medium	Total	
National Enterprise Development Authority	96	100	92	96	96
Small Enterprises Division (Ministry of Youth Affairs and Sports)	97	98	95	97	96
Industrial Development Board	96	98	92	96	96
Chamber of Commerce and Industry	95	100	89	95	98
NGOs – Sarvodaya Seeds and Sanasa Development Bank	97	94	97	96	94

Sources: ILO and NielsenIQ's surveys of 521 MSMEs in 2023 that had survived the economic crisis and 50 MSMEs that succumbed to it.

Interestingly, the scores from the surviving and non-surviving MSMEs are almost identical, with inter-institutional differences in access being quite insignificant. However, the response of the interviewed informants to almost the same question is in stark

contrast. For example, the key informants believed that institutions serving MSMEs provided several support services for them, especially advice about employee safety, support in skills development and advice on flexible work arrangements (table 5.7).

Table 5.7. Proportion of key informants who provided support to MSMEs by type of assistance %)

	Yes
Advice on employee safety	90
Advice on Employees' Provident Fund and Employees' Trust Fund payments	68
Support in skills development	96
Advice on flexible work arrangements	92
Legal advice	66

Source: ILO and NielsenIQ's interviews with 50 key informants.

The support provided by institutions was further examined using information from the informants about the areas in which they provided support. The evidence reported in table 5.8 suggests that institutional support was concentrated only in four main areas: (i) finding new markets (90 per cent); (ii) use of ICT (86 per cent); (iii) new product development (86 per cent); and (iv) skills development (84 per cent). Second, both state and non-state agencies appear to have been far less involved in providing support for MSMEs in two critically

important areas: (i) labour relations (22 per cent) and (ii) promoting inclusive business recovery that would help vulnerable groups (16 per cent). Similarly, institutional support for export orientation of MSMEs was rather disappointing (46 per cent), given the severity of the foreign exchange crisis and the potential contribution of MSMEs to export-led growth. Third, institutional support delivery was lacklustre in the Employees' Provident Fund and Employees' Trust Fund payments (68 per cent) and legal advice on employment (66 per cent).

Table 5.8. Perceptions of key informants about the type and extent of support provided (% of informants)

	No support	Moderate support	Active support
Skills development	2	14	82
Export orientation	4	48	46
Promoting female employment	0	22	76
Promoting job opportunities for persons living with disabilities	4	72	16
Better labour relations	8	62	22
Use of ICT in business operations (production, sales and distribution, recordkeeping, etc.)	4	8	86
New product development	2	10	86
Identification of new markets	4	4	90
Access to credit	4	16	76

Source: ILO and NielsenIQ's interviews with 50 informants.

Inter-institutional coordination among the service providers seems to have been weak due to three main reasons: (i) unequal distribution of support services; (ii) coordination and communication gaps; and (iii) knowledge gaps among MSME development officers. The following observations by interviewed informants

highlight major weaknesses in the present MSME support system.

For example, informants noted that rural MSMEs seem to have benefited less from institutional support programmes initiated by the Government than urban enterprises.

►► ...unfortunately, the businesses which are in rural areas have not got the attention from the Government in providing any kind of assistance for their recovery ... As a result, most microbusinesses have been closed down and they have moved into some other business or employment....

Problems of overlap and lack of coordination were also highlighted:

►► Sometimes, all the organizations have supported the same entrepreneurs' team. There are some who are unaware of the institutions which are available to support their business activities. Therefore, there should be good coordination among the institutions available to support the MSME sector. Each institute should be assigned to provide specific services, otherwise, there will be duplication of service and the same entrepreneur will get the same service from every institute, and some will not get any support at all.

►► Some of the MSMEs have not received the opportunity to get benefits of these collaborative programmes mainly because of the lack of inter-coordination among SME development organizations.

Lack of knowledge and experience among development officers also frustrated effective service delivery:

►► Some officers who have been appointed to provide the services for entrepreneurs do not have sufficient knowledge about the required areas. Sometimes, the entrepreneurs know more than appointed officers. Officers should be trained well before they are appointed.

Stimulus packages

As in many other countries during the COVID-19 crisis, Sri Lanka's Government offered a broad spectrum of stimulus packages, such as direct lending, reduced interest rates, grants, subsidies and several

other accommodative monetary policies, to support MSMEs.¹⁵ However, Sri Lanka's support to businesses and individuals during the pandemic was considerably less than the support that other countries in the

15 For a detailed account on MSME policies and regulations, see ADBI 2021a: 192–247.

region offered their citizens and businesses. For example, as of 27 September 2021, stimulus packages for MSMEs were around 4.4 per cent, 15.9 per cent, 11.2 per cent and 8.4 per cent of GDP in Bangladesh, India, Nepal and Pakistan, respectively, while it was just 1.6 per cent of GDP in Sri Lanka (ADB 2021a).

In Sri Lanka, the limited support was channelled through 15 public sector institutions, the Central Bank and the Securities and Exchange Commission (ADB 2021a). Half of the MSME loans were for manufacturing, a third were for services and 12 per cent for agriculture. However, MSME access to bank credit remained limited, with just 11 per cent of bank loans outstanding in 2020, or 5 per cent of GDP (ADB 2021a).

Throughout the multiple crises, the Central Bank implemented several schemes of debt moratorium and concessions to assist borrowers affected by the pandemic and subsequent macroeconomic crises through the financial institutions that it supervised. These schemes included extended repayment periods, concessionary rates of interest, working capital loans, debt moratorium and restructuring or rescheduling of credit facilities for affected borrowers. During the different phases of debt moratorium and concessions, these financial institutions approved more than 3.3 million requests for concessions, amounting to a total of 5,994 billion rupees¹⁶ (CBSL 2023b).

However, data collected from the surveys conducted for the present study suggests that the stimuli packages targeted at MSMEs failed to reach most of them devastated by both the COVID-19 and the 2022 economic crises. Surveyed proprietors pointed out that several of the conditions relating to eligibility for assistance that were imposed excluded microenterprises, including start-up enterprises operating in the periphery districts. These enterprises, which desperately needed support, were unable to avail themselves of the assistance. During the fieldwork conducted at the preliminary stage of this study, serious deficiencies in the way that the concessionary finance was rolled out were highlighted. Although development officers in government agencies and non-governmental organizations were initially requested to provide lists of MSMEs needing assistance based on several criteria, the support was not well targeted.

Additionally, the financial institutions' failure to step up to support the MSMEs during the crisis needs to be seen against their growth of profits during this period, even while Sri Lanka's economy contracted. Policy reform needs to focus on how financial institutions can become more inclusive and commit to supporting MSMEs, an objective that many of them were originally established to pursue.

¹⁶ The same borrower may have obtained concessions under different schemes or phases.

► 5.4 Summary conclusions

This chapter looked at the way MSMEs responded to the challenges created by the multiple crises in terms of three metrics: adaptive and passive behaviour, dynamic capabilities and digitalization. The analysis of information collected through the three research components suggests that surviving MSMEs relied on more adaptive behaviours, whereas the MSMEs that closed resorted to more passive behaviours. In terms of dynamic capabilities, the surviving MSMEs responded proactively to the uncertain and changing business environment in the country. Most of them seized new business opportunities by adapting their business models so that they could survive and grow when conditions improved in the medium term. Many such firms resorted to digitalization in their adaptive behaviour, but the digital strategies they adopted were at the low end of the digitalization scale, such as using social media platforms mainly for information search. These initial efforts need to be supported through the construction of digital infrastructure and by creating opportunities to acquire more advanced skills as well as skills in industry-specific digital applications. This will help them enter export markets that can then catalyse the adoption of more advanced technologies and finding more profitable markets for their products.

The analysis also looked at the extent to which the institutional architecture dedicated to the support of MSMEs helped them during the crises. Evidence from the surveys suggest that the overwhelming majority of MSMEs did not receive any support but struggled on or closed. Although the COVID-19 stimulus packages offered by the Sri Lankan Government to affected individuals and MSMEs was much smaller than those offered by other countries in the region, these, too, seem to have bypassed most MSMEs. Political economy factors appear to have had some role in determining who really accessed this support. But the financial institutions dedicated to the support of MSMEs seem to have largely ignored them, even though they posted substantial profits while the economy contracted.

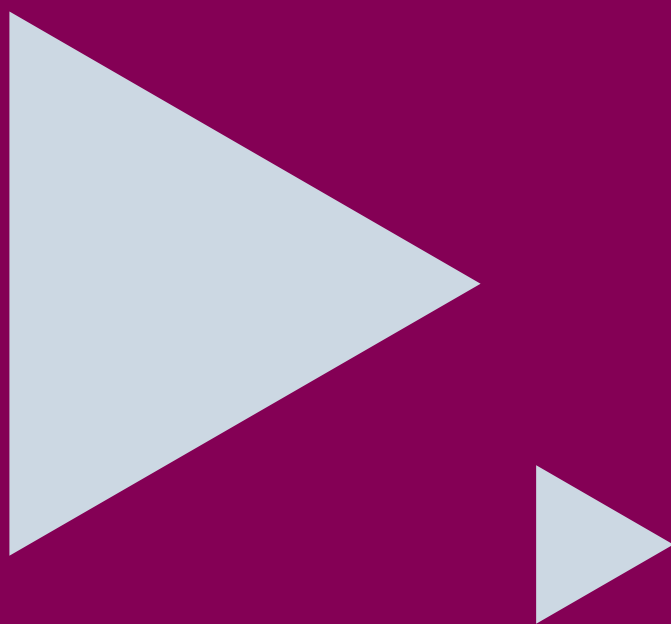
It is evident that political economy factors and distributional issues continue to impede the effective outreach and functioning of institutional structures established to support the MSME sector. Sri Lanka needs effective reforms to fix these governance-related issues that have long acted to distort and retard the country's development trajectory.



A fish farmer administers medicine for a diseased fish in a hatchery.
Sri Lanka. © Yamuni Rashmika Perera/ILO

▶ 6

Risk factors and constraints to survival and policy preferences





A father and his son repair watches in a family business.
Sri Lanka. © Yamuni Rashmika Perera/ILO

This chapter uses the conceptual approach of risk factors developed by Garcia et al. (2022) and Hossain, Akhter and Sultana (2022) and introduced in the review of the theoretical literature in Chapter 2 to understand what made Sri Lankan MSMEs vulnerable to closure during the multiple crises. After looking at various risk factors clustered under different themes in section

6.2, the discussion then moves onward in section 6.3 to the constraints that the proprietors of the surviving firms identified as impeding their continuation in business as well as the barriers that the proprietors of the firms that had closed believe kept them from starting again. The final section summarizes the main findings and draws their implications for policy.

► 6.1 Risk factors in MSMEs

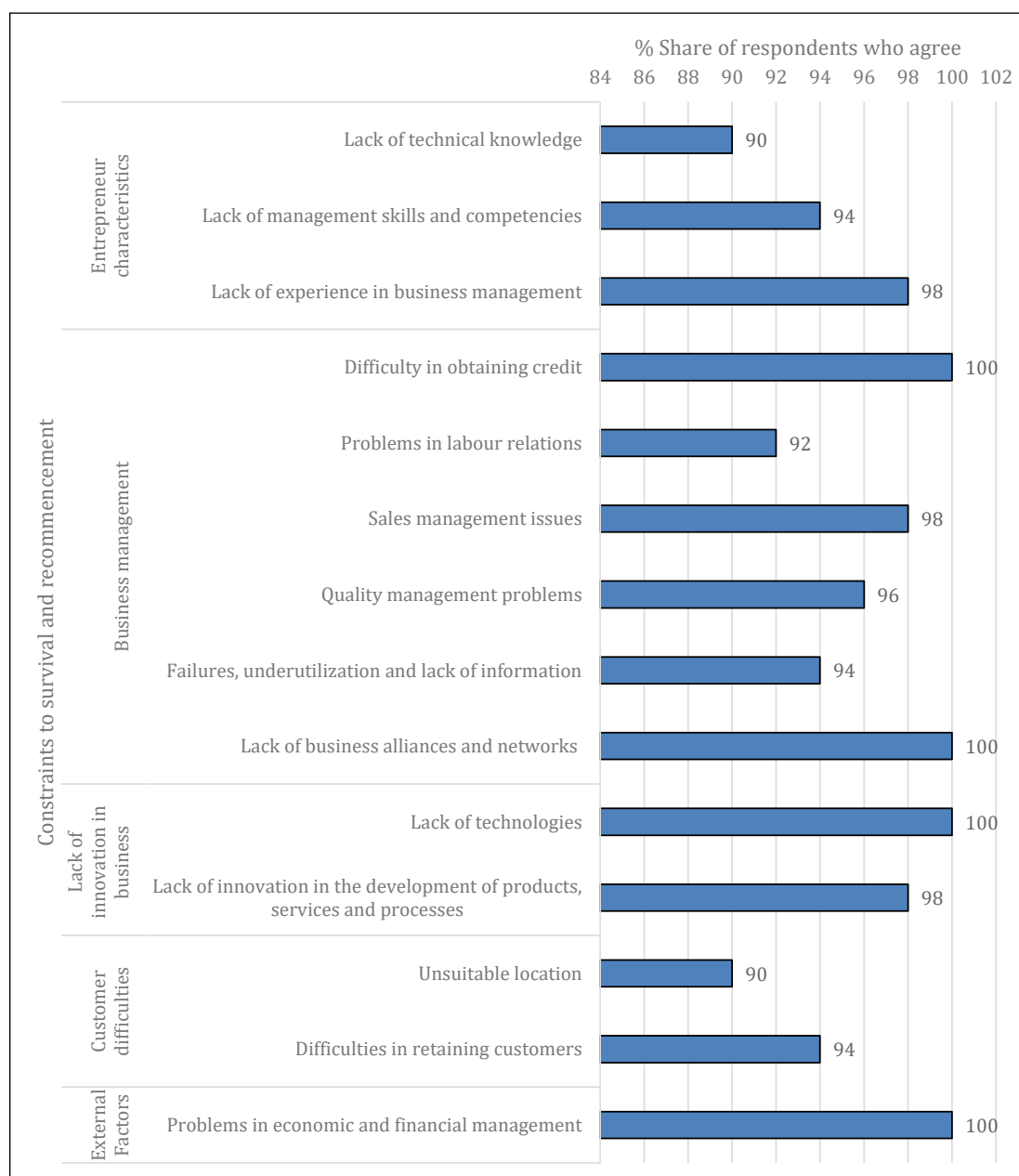
To analyse the risk factors that MSMEs faced, the relevant information available in all three research components was used. The informant interviews covered 14 risk factors, and the data from them suggests that five major factors precipitated business closure: (i) entrepreneur characteristics; (ii) weak business management; (iii) lack of innovation; (iv) difficulties related to sales; and (v) external factors (figure 6.1).

The role of 20 risk factors relating to the demand and supply sides of operations in conditioning the vulnerability of MSMEs was then explored. The demand side denotes factors that underlie business operations that deal with the sale of enterprise output, such as the demand for output and customer relations. The supply side denotes factors that underlie inputs to business operations that can range from raw materials and fuel to technology and access to and the cost of capital. The evidence from the sample of enterprises that survived and those that

closed revealed the dominance of the supply-side risk factors over the demand-side factors,¹⁷ particularly regarding shortages and the rise in prices of raw materials, power and other utilities, the rise in interest rates and fuel shortages (figure 6.2). For example, proportionately more proprietors of the surviving firms identified the top-five supply-side factors as severely or very severely impacting business operations, compared with the proportion of proprietors with non-surviving firms, who identified demand-side factors as severely or very severely impacting operations. Consequently, on average, 88 per cent of proprietors (surviving firms) cited supply-side factors affecting their businesses, compared with an average of 55 per cent who identified demand-side factors (figure 6.3). Proprietors of the non-surviving firms cited the top-five supply-side and demand-side factors as affecting their business at an average of 78 per cent and 42 per cent, respectively.

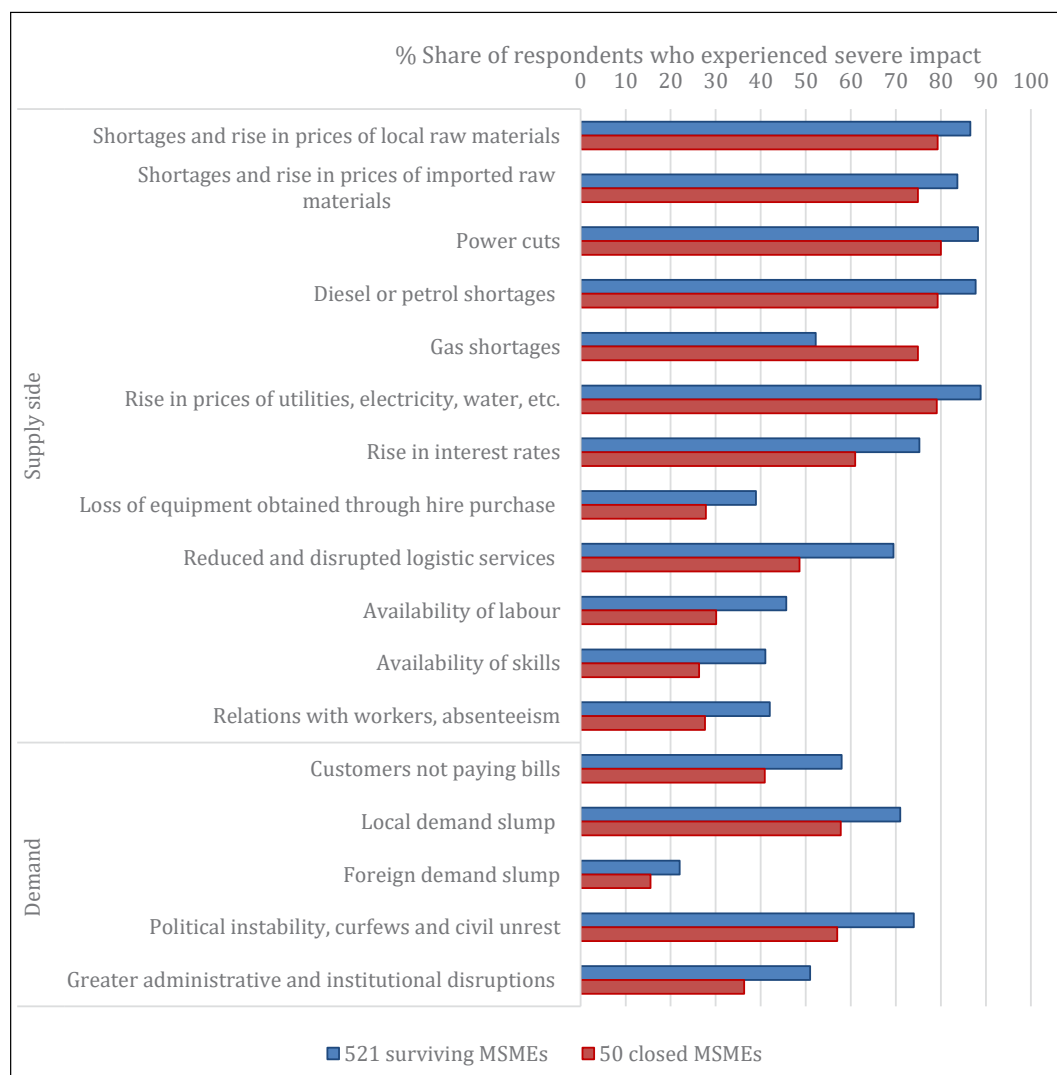
¹⁷ Supply-side dominant factors include rise in prices of utilities and raw materials, power cuts and fuel shortages while the demand side is dominated by such factors as political instability, local demand slump and customers not paying bills.

Figure 6.1. Risk factors conditioning the vulnerability of MSMEs (% of informants who agree)



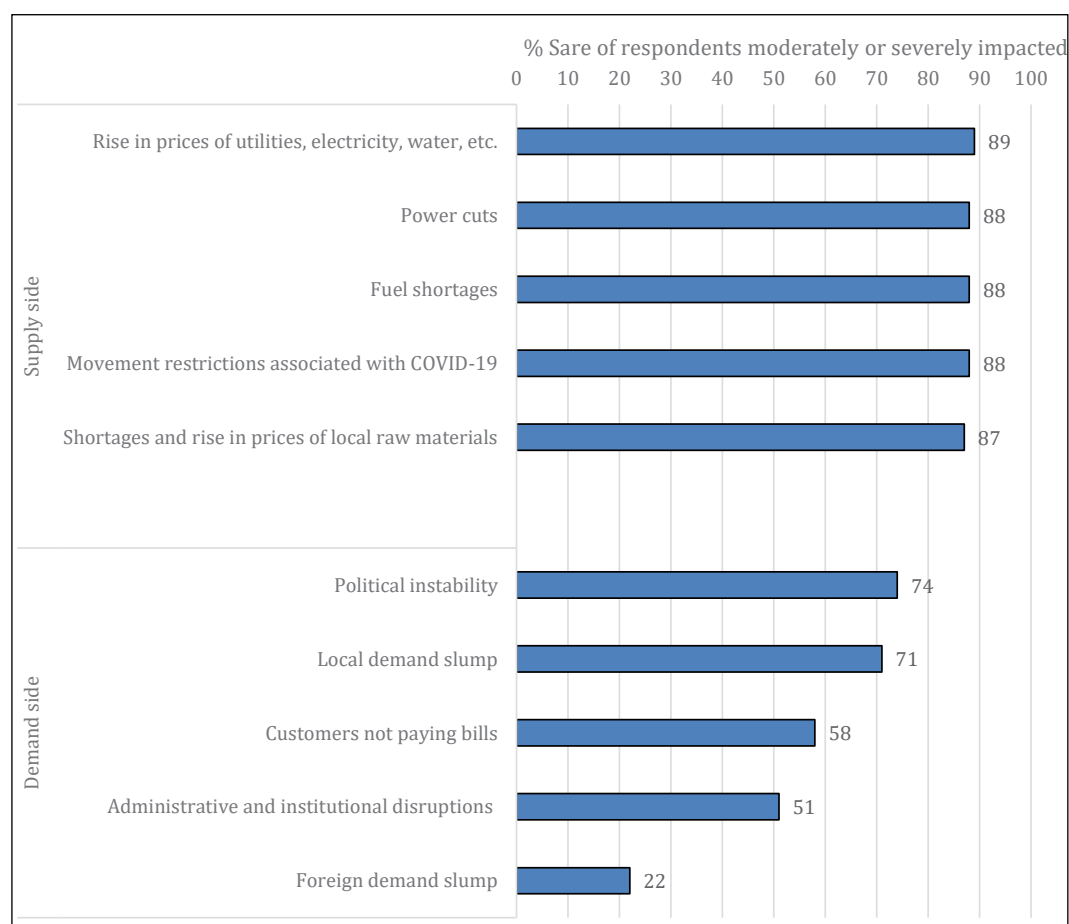
Source: ILO and NielsenIQ's interviews with 50 key informants.

Figure 6.2. Perceived severity of the impact of different dimensions of the economic crisis (% of proprietors from surviving and non-surviving MSMEs who experienced severe impact)



Source: ILO and NielsenIQ's surveys of 521 MSMEs in 2023 that had survived the economic crisis and 50 MSMEs that had succumbed to it.

Figure 6.3. Most important demand- and supply-related factors moderately or severely affecting operations of surviving MSMEs (% of proprietors)

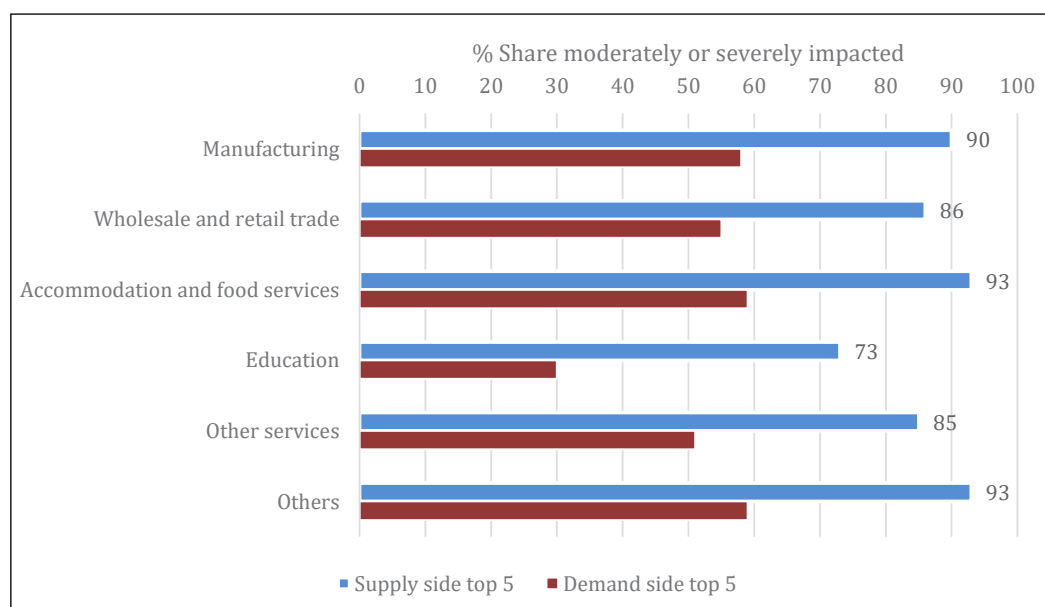


Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crisis.

At the subsector level, the supply-side factors severely affected operations in the tourism, manufacturing, wholesale and retail trade, and other services, which together accounted for more than 55 per cent of GDP (figure 6.4). The dominance of these sectors in the national economy and the intensity of the economic crisis' impact on them suggest that policymakers need to urgently concentrate on easing

the supply-side constraints to enable MSMEs to recover and grow. In terms of enterprise size, proportionately more small and medium-sized enterprises experienced difficulties because of the crises than did the microenterprises, unlike in many other countries. This may be due to the scale of advantage among microenterprises in taking adaptive measures to overcome crisis-led challenges.

Figure 6.4. Most important demand- and supply-related factors moderately or severely affecting surviving MSMEs operations, by subsector (%)



Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crisis.

► 6.2 Constraints to survival or recommencement

Proprietors of the MSMEs that had succumbed to the economic crisis and had closed identified adversarial labour relations (hostile relations between employers and workers), lack of technologies and distance from input and output markets as making it difficult to survive (table 6.1). While more than half of them (54 per cent) would like to restart the same business and nearly a third (32 per cent) per cent would

like to start a new business, they have experienced considerable impediments to the resumption of business operations. The survey of 521 enterprises that had survived the crisis also identified several constraints to their continued survival.

Table 6.1. Enterprise-specific characteristics that made it difficult to survive (%)

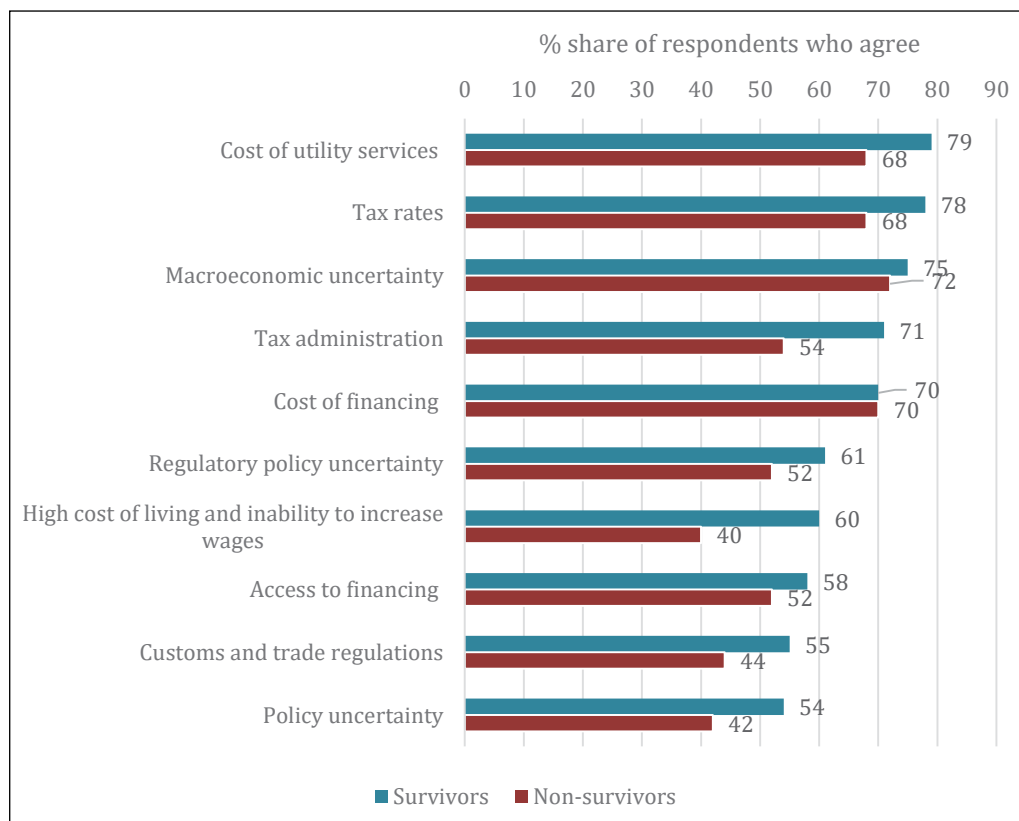
	Was not a problem	Made it difficult	Made it very difficult
Difficulty in obtaining credit or more flexible credit conditions	32	26	32
Adversarial labour relations*	8	14	62
Lack of business alliances and networks	20	26	48
Lack of technologies	14	14	62
Lack of innovation in the development of products, services and processes	22	22	46
Distance from markets where you buy your inputs	18	16	58
Unsuitable location of production or sales	24	10	60

Note: *Adversarial labour relations denote hostile relations between employers and workers and not between employers and trade unions.

Source: ILO and NielsenIQ's survey of 50 MSMEs in 2023 that had closed due to the economic crisis.

Sri Lanka's MSMEs have long faced a slew of constraints to their growth, even before the multiple shocks of 2019 onwards. These have been limited finances, poor market accessibility, weak entrepreneurial skills and a labyrinthine bureaucracy. This study investigated how these factors played out during both crises and their aftermath by examining 25 factors that proprietors believe had impeded or is impeding the recovery of their businesses. The data collection focused especially on such key areas as the policy and regulatory environment, the supply of labour, issues of governance, level of competition, the state of labour relations, access to and the cost of financing, the supply of intermediate inputs, the socio-political environment, and issues related to productivity. Figure 6.5 summarizes the responses of proprietors of both the surviving and non-surviving MSMEs in relation to the top-ten constraints

and shows the share of respondents in each sample who agreed that the constraint was severe or very severe. These highlights are drawn from table 6.2, which lists the perceived severity of all the constraints that respondents were questioned about. The data provide several interesting and important insights on the factors inhibiting MSME recovery and growth in Sri Lanka that is discussed in detail further on.

Figure 6.5. Most binding constraints to MSME survival or recommencement (%)

Source: ILO and NielsenIQ's surveys of 521 MSMEs in 2023 that had survived the economic crisis and 50 MSMEs that had succumbed to it.

Table 6.2. Constraints to survival or recommencement: surviving and non-surviving MSMEs (%)

Constraint	Surviving MSMEs	Closed MSMEs	
	Severe or very severe constraints to recovery	Factors that were major or severe contributors to closure	Factors that are severe or very severe constraints to restarting enterprise
1. Cost of utility services, such as electricity, telephone, water	79	70	68
2. Tax rates	78	60	68
3. Macroeconomic uncertainty (inflation, exchange rate)	75	60	72
4. Tax administration	71	48	54
5. Cost of financing (interest rates)	70		70
6. Regulatory policy uncertainty	61	46	52
7. High cost of living and inability to increase wages	60		40
8. Access to financing (collateral)	58		52
9. Customs and trade regulations	55	34	44
10. Policy uncertainty	54	40	42
11. Political instability and social unrest	52	50	42
12. Current levels of indebtedness of enterprise	48		48
13. Corruption	43	30	38
14. Business licensing and operating permits	41	28	34
15. Anti-competitive or informal practices	41	38	40
16. Crime, theft and disorder	40	28	36
17. Weakened morale of workforce	31		34
18. Delays in the legal system or dispute resolution	30	24	24
19. Inability to increase productivity	30		16
20. Labour regulations	27	24	28
21. Ethnic tensions	26	30	22
22. Shortages of highly skilled workers	25		66
23. Shortages of medium-skilled workers	17		32
24. Adversarial employer–employee relations	14		18
25. Shortages of low-skilled workers	13		22
Total number of MSMEs	521	50	50

Source: ILO and NielsenIQ's surveys of 521 MSMEs in 2023 that had survived the economic crisis and 50 MSMEs that had succumbed to it.

Economic growth anywhere and at any time is predicated on cheap energy. At the firm level, productivity growth directly links to the cost of electricity and its uninterrupted supply. But Sri Lanka's power sector has long been riddled with inefficiencies, and the cataclysmic rise in the price of utilities precipitated by the country's dollar crisis along with the turmoil in the global energy markets impacted an energy sector that had been hobbling business growth since 2004 at the least (see World Bank and ADB 2004). Even now, when fixed and maximum demand charges are included, Sri Lanka's energy costs are more than 16 cents per kWh (US currency), compared with less than 10 cents in Viet Nam and 8 cents in Indonesia.¹⁸ Data collected for the purpose of the present study revealed the cost of utility services to be the most binding constraint affecting the recovery of surviving MSMEs, whereas it was ranked as third-most important by MSMEs that did not survive.

After utility prices, factors related to policy and the regulatory system emerged as the second-most binding constraint to firm survival or revival. Policy-related constraints include tax rates, macroeconomic policy and policy uncertainty, while regulatory constraints include tax administration, regulatory policy uncertainty and customs and trade regulations. As figure 6.5 shows, most proprietors among the surviving and non-surviving firms cited macroeconomic uncertainty as a severe or very severe constraint to business recovery. This, too, was identified by the Investment Climate Assessment Survey of 2004 as a

drag on business growth. That study also emphasized the need for a policy framework geared towards improving policy certainty and macroeconomic stability (World Bank and ADB 2004: e viii). However, Sri Lanka failed to address these long-identified constraints on business growth and the current crisis is a direct result of these major macroeconomic policy failures. Any policy aiming to resuscitate businesses and generate employment needs to focus on the macroeconomic fundamentals because macroeconomic policy uncertainty saps business confidence and blights business recovery.

Access to financing and the cost of financing were cited as the third-most binding set of constraints hindering the recovery or recommencement of surviving and non-surviving MSMEs. Nearly half (48 per cent) of all the proprietors in both MSME samples characterized access to financing and the cost of financing as major or very severe constraints to restarting, recovering and growing. Substantial indebtedness among the surviving MSMEs is likely to hamper their continued survival, recovery and growth (see table 4.6, which reflects average total financial obligations of micro, small and medium-sized enterprises up to the end of 2022, amounting to 786,655 rupees, 1,996,250 rupees and 3,802,601 rupees, respectively).

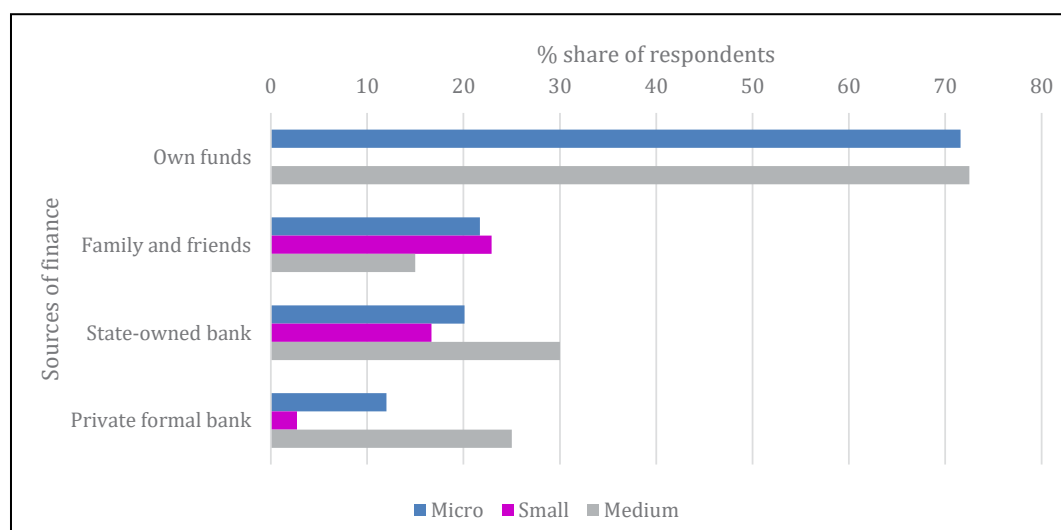
Microenterprises find it more difficult to access finance than the small and medium-sized enterprises, which typically source their requirements from microfinance institutions and the formal banking

18 *Daily Financial Times*, "Apparel sector dismayed by zero revisions to industrial electricity tariff rates", 26 June 2023.

system. Due to burdensome bureaucratic procedures and high collateral requirements, most of the micro and small businesses that were surveyed had not used funds from formal financial institutions to start their businesses, while more than 70 per cent of them had used their own funds and 21 per cent had used financial help from relatives or friends as seed capital (figure 6.6). This corresponds to the fact that a large proportion of MSME proprietors (70 per cent) identified the cost of financing (interest rates), while around half of them (54 per cent) cited access to financing (collateral) as severe or very severe constraints. The World Bank's Investment Climate Assessment (2004) also found the cost of financing and access to financing as the second- and third-most

important constraints affecting rural enterprises (World Bank and ADB 2004). The assessment concluded that the cost of finance to be the fourth-most binding constraint affecting urban enterprises. The findings of the present study confirm that lack of collateral remains a binding constraint to MSME growth 20 years after it was first identified as such by the 2004 Investment Climate Assessment and that there has hardly been any improvement for a long time towards enabling MSMEs to access capital, leaving them vulnerable to shocks. Coupled with the substantial financial obligations that MSMEs have racked up over the course of the crises, policymakers need to find ways and means to ease their debt burden and facilitate access to credit again.

Figure 6.6. Funding, by source and enterprise size (%)



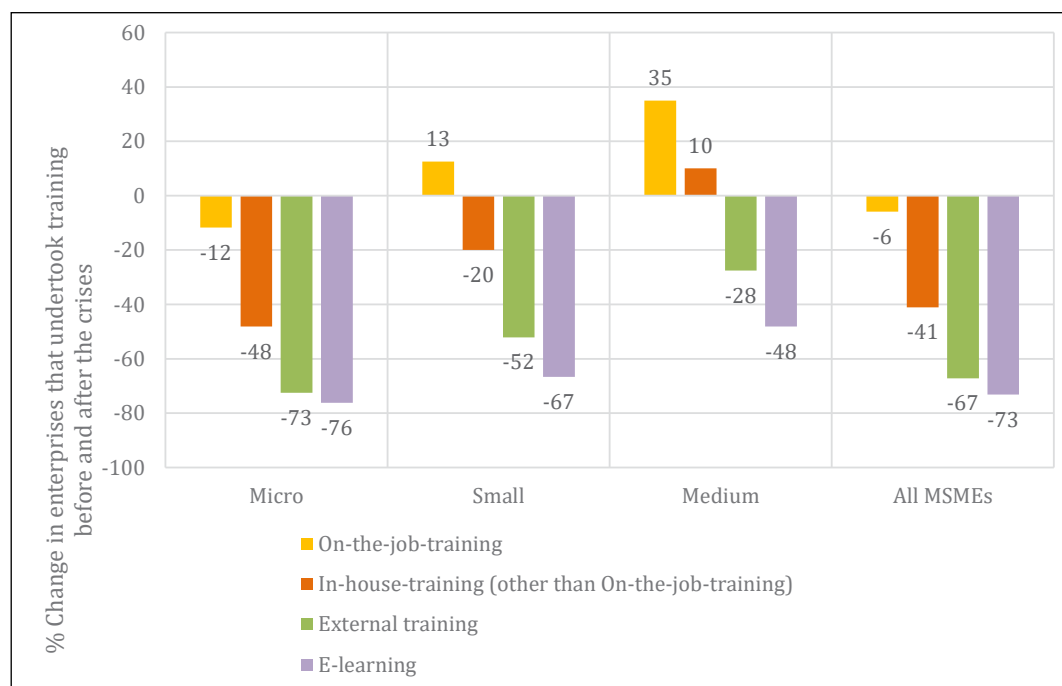
Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crises.

Labour-related issues comprise the fourth set of constraints that have inhibited the recovery and growth of MSMEs. For example, inability to raise wages despite cost-of-living increases and skill shortages appear to be important hindrances to business recovery. About 60 per cent of the surviving MSME proprietors cited inability to raise wages as constraining their survival and revival, while the response from the non-surviving MSME proprietors for the same was 40 per cent. And 25 per cent, 17 per cent and 13 per cent of surviving MSME proprietors said that shortages of high-, medium- and low-skilled workers were an impediment. Among the non-surviving MSMEs, 66 per cent, 32 per cent and 22 per cent of proprietors cited high-, medium- and low-skill shortages, respectively, as an impediment to their survival.

The lack of MSME proprietors' ability to invest as much in training workers as they did before the economic crisis was bound to have exacerbated skills shortages created by migration. For example, as figure 6.7 shows, the decline in training

that followed the crises was most severe among microenterprises, which accounted for 83 per cent of the surviving enterprises. In terms of mode of training, the biggest decline was in e-learning (73 per cent) and external training (67 per cent), followed by in-house training (41 per cent). The reduced investment in training will have serious short- and medium-term implications for MSMEs' productivity and survival. Human capital is a driver of job creation and business recovery and underwrites resilience in the face of the current and future crises and shocks. Larger endowments of skilled workers who can perform multiple tasks and apply modern technology in business operations are essential for technological transformation and productivity growth. Interventions that will quickly develop the necessary skills are urgently needed to limit and reverse the erosion of training and development at the enterprise level. It will be impossible to build up enterprise resilience in an increasingly volatile global economy without it.

Figure 6.7. Change in number of enterprises that invested in training, by type and size category (%)



Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crises.

Constraints related to the quality and effectiveness of governance constitute additional impediments to the business recovery of MSMEs. For example, table 6.2 shows that 43 per cent and 41 per cent of the surviving firm proprietors identified corruption and anti-competitive practices, respectively, as severe or very severe constraints to their recovery, while 38 per cent and 40 per cent of the non-surviving MSME proprietors said the same. Crime, theft and disorder were cited as severe or very severe constraints to business recovery by 40 per cent of the surviving MSME proprietors and by 36 per cent of those that had not survived. It is well known that good governance promotes business confidence and trust and enables business recovery and growth, especially among MSMEs that face high levels of red

tape and corruption and lack the social networks and influence that make it easy for larger entities to do business. According to Transparency International's 2022 Corruption Perceptions Index, Sri Lanka scored 36 on a scale from 0 ("highly corrupt") to 100 ("very clean"). In the Government Effectiveness Index, Sri Lanka ranked 94 of 192 countries, with a score of negative 0.08 in 2021. This is in sharp contrast to the Investment Climate Survey of 2004, which cited Sri Lanka as an exceptional case among developing countries for its good governance (World Bank 2005). More recent analyses on governance in Sri Lanka suggest a continuous and precipitous deterioration over the past 20 years due to the poor performance and lack of probity in governance institutions (Ramasamy 2020).

In contrast, ethnic tensions were regarded as a severe or most severe constraint to survival or recommencement by 20 per cent of survivors and a major contributor to closure by 30 per cent of the proprietors of the non-surviving MSMEs, among whom 22 per cent cited this factor as a severe constraint to restarting their operations. However, the relatively small proportion of proprietors who saw ethnic tensions as

a major constraint were likely to belong to smaller ethno-religious groups who have disproportionately long suffered the consequences of ethnic strife, compared to the majority community. Although relatively more ethnic Tamils and Muslims are in business, more of them have also been the targets of politically motivated communal riots.

► 6.3 MSMEs' policy preferences

An objective of this study is to inform policymaking and the design of interventions to support the recovery and growth of MSMEs and thus create an environment that will encourage the expansion and development of the sector. Proprietors of the surviving and non-surviving MSMEs were asked what policies would support this process. The analysis of the data on their preferences found that the policy measures considered most important and necessary for business recovery and growth would be those that reduce the tax burden and improve access to concessional credit or subsidized interest rates (table 6.3 and table 6.4). The interviewed informants also recommended that MSMEs should be supported with low-interest loans for revival purposes (for use as working capital), a two-year tax holiday, incentives for export-z

oriented producers and removal of export taxes, like the cess.

These responses may be conditioned by previous experiences, when such measures were used over several decades to assist MSMEs. But the misallocation of resources that subsidized credit has caused in the past is well known. Additionally, although high interest rates necessitated by stabilization measures have certainly squeezed enterprises' access to credit and increased their indebtedness, the Government's straitened fiscal circumstances and heavy reliance on monetary policy for macroeconomic management rule out the possibility of implementing these preferred options. It may still be possible, however, to seek the assistance of international financial institutions and donors to increase enterprises' access to credit.

Table 6.3. Preferred policy measures among proprietors of the surviving MSME (%)

Policy measures	521 surviving MSMEs			
	Level of importance			
	Most	Second most	Third most	% share of all responses
Reduce tax burden	54	23	13	30
Interest rate subsidies	15	34	19	23
Skills development	8	8	14	10
Build social and psychological resilience among employees	6	6	6	6
Cash transfers	6	10	20	12
Support to low-income earners	6	11	16	11
Facilitate digitization of business activities	3	5	8	5
Delay of Employees' Provident Fund and Employees' Trust Fund payments	2	2	3	2

Source: ILO and NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crisis.

In contrast, the MSME proprietors regarded support with skills development and the facilitation of digitization as less important. This may be due to their lack of awareness of the potential benefits of digitalization and skills development, even though the international empirical literature recognizes these as vital interventions for business recovery of MSMEs following shocks. As well, delayed Employees' Provident Fund and Employees' Trust Fund payments were not regarded as important, which may be due to the low registration in either fund by these proprietors, at only

35 per cent of the surviving MSME sample and 10 per cent of the non-surviving MSME sample.

In stark contrast to what MSME proprietors seemed to want, the interviewed informants thought that there is high demand for skills development (88 per cent) and an interest in facilitated digitalization (84 per cent) or technical assistance in product development (70 per cent) (table 6.5). This is not borne out in the MSME survey findings.

Table 6.4. Non-surviving MSME proprietors' preferred policy measures (%)

Policy measures	50 non-surviving MSMEs			
	Level of importance			% share of all responses
	Most	Second most	Third most	
Concessional loan scheme	54	14	6	25
Reduce tax burden	16	35	19	23
Cash transfers	14	10	19	14
Rescheduling of bank loans	14	12	15	14
Skills development	2	10	8	7
Build social and psychological resilience among employees	0	6	8	5
Facilitate digitization of business activities	0	6	2	3
Delay of Employees' Provident Fund and Employees' Trust Fund payments	0	0	4	1
Support to low-income earners	0	6	19	8

Source: ILO and NielsenIQ's survey of 50 MSMEs in 2023 that had closed due to the economic crisis.

Table 6.5. Policy measures that informants think the MSMEs want (%)

	High demand	Moderate demand	Low demand
Loan repayments restructured	92	6	2
Reduce costs of electricity and fuel	90	4	6
Skills development	88	12	0
Assistance to obtain capital or legal advice	88	8	4
Preparing project proposals	86	12	2
Facilitate digitization of business activities	84	8	8
Technical assistance in product development	70	24	6
Reduce tax burden	68	12	20
Building social and psychological resilience among employees	66	18	16
Delay of Employees' Provident Fund and Employees' Trust Fund payments	6	18	74

Source: ILO and NielsenIQ's interviews with 50 key informants.

► 6.4 Summary conclusions

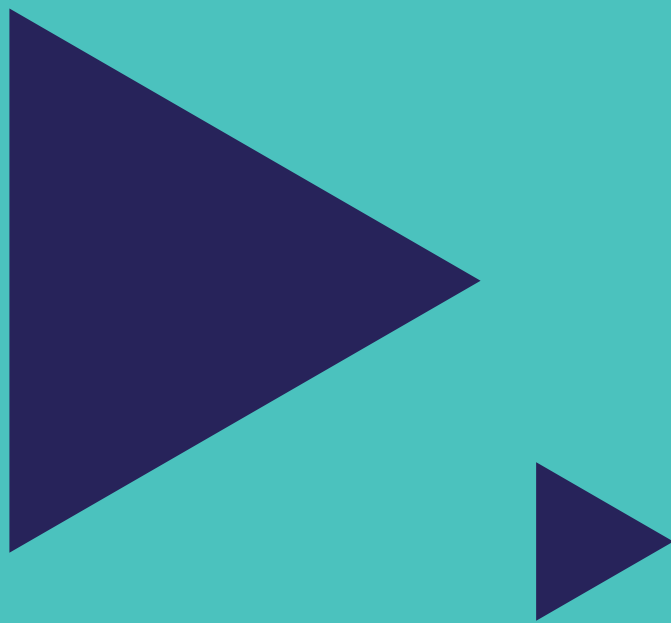
Sri Lanka has failed to address the impediments to enterprise growth that had been rigorously identified at least 20 years ago. Since then, the country's investment climate has steadily deteriorated, retarding the healthy growth of enterprises and leaving them vulnerable to the kind of cataclysmic shocks that have rocked the economy since 2019.

The analysis in this chapter identified several risk factors that MSMEs experienced during the crises as well as the impediments to their continued survival, recovery and growth in the future. Many of these constraints are the same as those identified several decades ago, such as the high cost of energy, the uncertain macroeconomic environment and the cost of and access to finance. MSME proprietors also cited inefficiencies and corruption in governance structures as a drag on business.

In the immediate present and medium term, Sri Lanka needs to address these long-identified constraints on enterprise growth and build agile, resilient and adaptive entrepreneurship development systems that can help prepare for and respond to the current economic crisis and future shocks. Sri Lanka can use the crisis to reset its development model and work towards resilient and job-rich growth. With stabilization largely achieved, Sri Lanka needs to initiate serious reforms that address these constraints consistently and in a sustained manner. Trust in public institutions also must be rebuilt through good governance, greater transparency and accountability. A policy framework that protects and promotes MSMEs that have over the years taken multiple hits from institutional and policy failures is urgently needed.



Conclusions and policy directions





A man packs pots of curds to be sent to market.
Sri Lanka. © Yamuni Rashmika Perera/ILO

Sri Lanka's MSMEs comprised 99 per cent of all enterprises and was the main repository of its employed workforce in 2013 (latest available data), engaging 75 per cent of the country's employed population at that time. Yet, MSMEs are notoriously vulnerable to shocks due to their limited financial resources and borrowing capacity with which to ride out a crisis. For instance, there is substantial international evidence to show that the pandemic hit them hardest. In Sri Lanka, multiple economic crises followed the pandemic, further impacting MSMEs and employment in them.

This study examined the impact of the multiple crises on Sri Lanka's MSMEs, their major sources of business vulnerability and the coping mechanisms they adopted between 2019 to early 2023. It also assessed the effectiveness of the institutional support system and the policy preferences of MSMEs to survive

and grow. The analysis used primary data from three research components that were designed by the ILO and conducted by NielsenIQ between January and March 2023 in ten districts to triangulate findings on critical impact and policy-related issues. The three components were: (i) a survey of 521 MSMEs that had survived the economic crisis; (ii) a survey of 50 MSMEs that had closed due to the crisis; and (iii) sector-based interviews with officials and officers of government agencies and non-governmental organizations.

Resuscitating the sector and supporting its growth needs to be at the heart of any strategy to generate employment and inclusive growth. This chapter briefly summarizes the main findings and draws out their implications for policies looking to promote an inclusive, sustainable and job-rich recovery of Sri Lanka's MSMEs.

► 7.1 Overview of findings

This study examined the impact of the COVID-19 and economic crises on MSMEs using multiple criteria, such as business closures and job losses, in terms of enterprise size, economic subsector and vulnerable groups. The pandemic severely impacted the business operations of nearly 80 per cent of surviving MSMEs, while the economic crisis of 2022 similarly impacted 89 per cent of them. Employment contracted by one fifth in the surviving firms during the multiple crises; small and medium-sized enterprises downsized, which largely affected male employment but only marginally affected women's

employment because women were concentrated in the microenterprise sector, mostly in operations with three workers or fewer. Substantial numbers of enterprises lost both skilled and unskilled workers due to their migration to other parts of Sri Lanka or abroad. Nearly half of all surviving MSMEs found it difficult to retain or hire people because they could not pay enough to cover their rising living costs. Continuing low employee morale and low productivity are also likely to hamper recovery. The crises left in their wake high levels of indebtedness, which will impede the continued survival and growth of MSMEs.

The study looked at the way MSMEs responded to the challenges created by the multiple crises in terms of three metrics: adaptive and passive behaviour, dynamic capabilities and digitalization. The analysis suggests that surviving MSMEs relied on more adaptive behaviours, whereas the MSMEs that had closed resorted to more passive behaviours. In terms of dynamic capabilities, the surviving MSMEs responded proactively to the uncertain and changing business environment in the country. Most of them seized new business opportunities by adapting their business model so that they could survive and grow when conditions improved in the medium term. Many such firms resorted to digitalization in their adaptive behaviour, but the digital strategies they adopted were at the low end of the digitalization scale, such as using social media platforms mainly for information search.

An overwhelming majority of MSMEs did not receive any support from institutions dedicated to supporting MSME development. They either struggled or shut down. Although the stimulus packages offered by the Sri Lankan Government to affected individuals and MSMEs was much smaller than what was offered in other countries in the region, these, too, seem

to have bypassed most MSMEs. Political economy factors appear to have had some role in determining who really accessed this support. Additionally, the financial institutions dedicated to supporting MSMEs largely ignored them, even though these institutions posted substantial profits while the economy contracted. Sri Lanka needs effective reforms to fix these governance-related issues that have long distorted and retarded the country's development trajectory.

Sri Lanka's investment climate has deteriorated steadily over the past 20 years, stifling the healthy growth of enterprises and leaving them vulnerable to the kind of cataclysmic shocks that have rocked the economy since 2019. Many of the impediments to enterprise growth that were rigorously identified decades ago continue to impede the survival, recovery and growth of MSMEs. Important among them are the high cost of energy, the uncertain macroeconomic environment and the cost of and access to finance. As well, inefficiencies and corruption in governance structures that were not a problem 20 years ago now act as a considerable drag on business.

► 7.2 Policy implications

Notwithstanding ongoing macroeconomic reforms, Sri Lanka's economy is expected to face significant challenges in 2023 and beyond. Projected economic growth for 2023 is a negative 4.3 per cent. At the sector level, only agriculture is expected to grow (at 2 per cent), but the ongoing drought may well get in the way of agricultural recovery. The industry and services sectors are expected to record negative growth rates (negative 5.8 per cent and negative 4.5 per cent). Exports and imports are also expected to contract in 2023 (by a negative 4 per cent and a negative 3 per cent, respectively), according to the World Bank (2023). A lower external trade equilibrium could have contagion effects on domestic production and trade, consumption, employment and income. The success of Sri Lanka's medium-term growth prospects will depend on progress with debt restructuring, fiscal consolidation, efficient targeting of social welfare programmes and effective implementation of growth-enhancing structural reforms.

But the ongoing fiscal consolidation measures and monetary policy adjustments are likely to constrain and further dampen the MSME growth prospects. They may also affect employment recovery. Following the economic crisis, the poverty headcount ratio had already doubled, from 13.1 per cent in 2021 to 25 per cent in 2022 (World Bank 2023). Over the same period, the urban poverty rate tripled to 15 per cent, while rural poverty doubled to 26 per cent. Around 10–20 per cent of households remain highly vulnerable to falling into poverty in the

event of a negative income shock. Overall consumption inequality has also increased, from 37.7 per cent in 2019 to 39.8 per cent in 2022 (World Bank 2023). The potential negative impacts of macroeconomic reforms on household income, poverty and equity will also affect employment and the survival of MSMEs, which are unable to raise wages in response to the high cost of living. This needs to be carefully monitored and adjusted, depending on the performance of the economy (and the impact on labour markets, poverty and inequality) over the coming months and even years.

In the immediate present and medium term, Sri Lanka needs to address the long-identified constraints to enterprise growth and build agile, resilient and adaptive entrepreneurship development systems that can help MSMEs prepare for and respond to the current economic crisis and future shocks. Sri Lanka can use the crisis to reset its development model and work towards resilient and job-rich growth. Stabilization has been largely achieved, but Sri Lanka needs to implement serious reforms that address the constraints on growth, enterprises and job creation consistently and in a sustained manner. Trust in public institutions also must be rebuilt through good governance, greater transparency and accountability. Linking institutional and policy support to provide economic opportunities, such as skills development, digitalization, business coaching and access to finance, can help MSMEs rebuild their assets, improve their business competitiveness and become an engine of economic recovery and growth. To

promote job creation, these interventions can be supported through an improved business environment, skills development, supply-side efficiency and access to finance.

Although only 4 per cent of the surviving MSMEs in the sample were exporting their goods, any strategy looking to develop the sector must enable MSMEs to enter the export market. Exporting is a driver of growth in small, resource-poor economies like Sri Lanka. Global value chain systems provide opportunities for MSMEs to venture beyond the limited Sri Lankan market to find high-income niche markets abroad. Because Sri Lanka's strategic location makes it geographically attractive to many global value chains, MSMEs could join the global value chain-based exporting process either directly or by subcontracting through large-scale exporters. Sri Lanka's untapped export potential is estimated to be around US\$10 billion per year, which could create an additional 123,500 jobs (World Bank 2023). But export production also requires imported inputs. Because Sri Lanka implemented eight waves of import controls from April 2020 to September 2022¹⁹ to conserve foreign exchange for essential commodities, many MSMEs could

not source their inputs, as this study on impact discovered. After their recent study, Wijesinghe et al. (2023) argued that the policy goals behind these import controls remain unclear and that conflicting statements suggest a potential shift towards protectionism and import substitution. The drift towards a restricted trade regime will make the foreign exchange problem much worse. It is imperative that a strategic approach to trade policy encourages export-led growth through the global value chain system with the active participation of MSMEs.

The findings of this study provide several insights to help formulate interventions that can better enable MSMEs and the employment in them recover, especially to provide more opportunities for women and young people. The following matrix offers 12 policy intervention recommendations that centre on macroeconomic issues, skills development, digitalization of MSME business operations, supply-side stabilization, women's labour force participation and improving market access and entrepreneurship development (table 7.1).

19 This is through such measures as temporary suspensions, bans, import control licenses and credit-based requirements.

Table 7.1. Recommended policy measures for the recovery, resilience and job-rich growth of MSMEs

Area of intervention or support	Policy recommendations
1. An enabling macroeconomic environment	• Sustain the macroeconomic reform process, comprising essential fiscal and monetary policy reforms already begun
2. Monitoring of labour market effects associated with macroeconomic policy reforms	• Initiate remedial measures to minimize the negative effects of the macroeconomic policy reforms
3. Institutional reform to keep down the prices of energy and other utilities	• Eliminate corruption by instituting mechanisms to ensure transparency and accountability in the public sector institutions • Promote more inclusive institutions
4. Sector-specific support	• Prioritize high-growth sectors in terms of needed inputs and support for business recovery and job creation in tourism, food and beverages, ICT and business process outsourcing, electronics and electrical equipment, industrial and transport equipment, transportation and storage (logistics), rubber and plastic products, wearing apparel and textiles
5. Supply-side stabilization	• Encourage investment in upgrading technologies • Facilitate access to finance and stabilize its cost • Maintain refinance programmes, and continue to work with development partners • Support business start-ups and the expansion of MSMEs, and attract foreign direct investment • Encourage social dialogue and a culture of collaborative cooperation between employers and trade unions
6. Increased market access	• Facilitate MSMEs' access to local and foreign markets by making information about local and foreign product and factor markets easily available
7. Entrepreneurship development through advisory, counselling and business coaching services	• Develop entrepreneurship skills among MSMEs through well-designed entrepreneurship training programmes • Provide coaching on crisis management, business continuity planning and sustainability initiatives for MSMEs; provide legal advice to MSMEs; and provide counselling for stress management
8. Skills development to increase productivity and arrest the erosion of human capital	• Reform the general education and vocational skills development systems to improve competencies and develop skills that increase employability and that employers are demanding • Develop new skill sets demanded by the MSMEs during the post-crises business recovery period • Provide workforce development programmes to help workers, especially from at-risk groups, upgrade their skill sets and master those required for good jobs
9. Improved digital competencies of MSME proprietors and employees	• Improve the digital competencies of managers and workers in MSMEs related to communication, networking, social media, customer relationship management, payments, accounting and finance, project management operations and improving the digital visibility of enterprises
10. Increased women's participation in the paid workforce and youth employment	• Promote female entrepreneurship in the MSME sector, and realign the vocational training supply with market needs • Provide support for access to training and job searching
11. Interinstitutional coordination	• Develop mechanisms to coordinate the efforts to support MSMEs at the district or divisional secretariate level
12. Monitoring the progress of the business recovery of MSMEs	• Develop a mechanism to monitor the progress of business recovery of MSMEs, and introduce remedial measures to minimize potential negative impacts

Sri Lanka's unprecedented multiple crises have presented huge challenges to the prioritization, coordination and mitigation of the impact of reforms on the vulnerable groups within the population. The challenges involve simultaneously achieving multiple objectives, the interdependencies between policy issues and the complex and inefficient institutional networks that confuse objectives, create overlaps, duplicate tasks and spread scarce resources too thinly for impact. The COVID-19 pandemic vividly demonstrated that Sri Lanka urgently needs reforms that address both government and market failures, make institutions more accountable and efficient and thus create an environment that is conducive for economic recovery and growth. Fundamental institutional reforms that will bring this about are essential not just for economic efficiency but also to restore trust, confidence, morale and energy and, above all, give Sri Lankans hope for the future.

In addition to the institutional reforms, the most urgent policy reforms needed for growth to recover from the recent crises involve maintaining economic stability, facilitating employment growth and concentrating on sectors with the potential for rapid growth, such as exports and MSMEs.

As for prioritizing the policy interventions recommended in table 7.1, the most important will be creating an enabling macroeconomic environment through the macroeconomic policy reform process, with support from leading donor

agencies. Reforms should focus on good governance; improving the investment, operating and regulatory environments for the private sector; and facilitating the efficient functioning of the labour market. At the next level of priority, interventions must promote high-growth sectors that are capable of swiftly advancing the country's economic recovery.

As the economy begins to recover, more economic and employment opportunities will be created for men and women, and especially for young people. This will require skilled, educated and motivated workers whose adaptability and productivity are enhanced through structural reforms and the provision of adequate resources to the skills development sector. These reforms will help workers acquire the skills needed to access the employment opportunities that will be generated if the macroeconomic conditions are ensured.

In this period of unprecedented economic crisis, timely and tailored progress monitoring will be vital to share what is learned and thus provide stakeholders with well-calibrated policy advice. Continuous monitoring will also help determine appropriate and corrective courses of action in response to any slow progress of project interventions.

It is hoped that the findings of this study will help policymakers, together with industry players, administrators, academics and other stakeholders, work to overcome the worst effects of Sri Lanka's recent multiple crises.



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A batik designer applies wax to a cloth.
Sri Lanka. © Asitha Seneviratne/ILO

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Annex

Perceived severity of the crises impact on MSMEs, by subsector (% severe or very severe)

Sector	Severe or very severe %		GDP %-2023 Q1	Employment %, 2022Q 2
	COVID-19	Economic crisis		
1 Mining and quarrying	50	50	1.3	1
2 Manufacturing	80	81	17.7	16
3 Electricity, gas, steam, and air conditioning supply	100	100	1.4	8
4 Water supply	100	100	0.3	
5 Construction	88	91	6.2	
6 Wholesale and retail trade, repair of motor vehicles	76	75	15.2	14
7 Transportation and storage	92	91	13.3	6
8 Accommodation and food service activities, including tourism-related	91	90	1.9	3
9 Information and communication – repair of computers, cell phones, communication centres etc.	82	77	1.9	
10 Financial and Insurance Activities	60	75	3.5	1
11 Real estate activities			2.1	3
12 Professional, scientific and technical activities	100	100	2.1	1
13 Administrative and support service activities				2
14 Public administration and defence: compulsory social security				6
15 Education services	81	79	2.3	5
16 Human health and social work activities	80	80	1.5	2
17 Arts, entertainment, and recreation	100	100		
18 Other service activities	86	84		2
19 Activities of households as employers, undifferentiated goods and service producing activities of households for own use	100	100	70.7	

Source: ILO/NielsenIQ's survey of 521 MSMEs in 2023 that had survived the economic crisis; Quarterly Labour Force Survey 2022 second quarter.

An inclusive, sustainable and job-rich recovery depends critically on how businesses recover, transform and expand, and how workers' employability and productivity improve. Micro, small and medium-sized enterprises (MSMEs) account for around 60% of GDP and are a significant source of employment for the women and men of the country. International Labour Organization supports women led and dominated enterprises to generate more and better jobs, increase incomes despite challenging times.

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ILO Country Office for Sri Lanka and the Maldives
202 - 204, Bauddhaloka Mawatha
Colombo 7
Sri Lanka



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